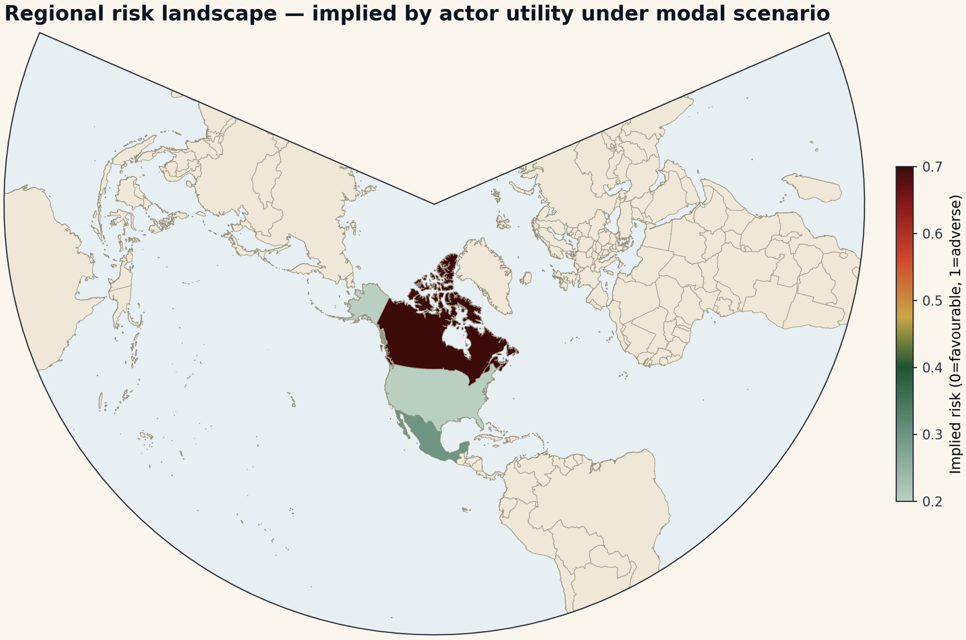
REGIONAL BRIEF

GIPRE Regional Brief — North America

All-horizons regional outlook — May 2026

Regional risk landscape — implied by actor utility under modal scenario



Cooler = favourable; warmer = adverse. Derived from each actor agent's own utility under the top scenario.

Source: GIPRE 50-agent slice; agent utility outputs (May 2026).

The GIPRE Master Library partitions the international-system outcome space across three axes — system stress, great-power configuration, regional flashpoint set — into 100 scenarios anchored on the verbatim Doc 1 §3 L27 sample top-10 (Δ_disc = 0.97). This v4 brief delivers narrative-integrated visuals at the point of argument, deep causal-chain analysis per top risk with historical analogues and counter-narratives, a dedicated tail-risk section, explicit Bayesian prior→posterior updates, and quantified business impacts.

100	3	10	5	$113.8T
SCENARIOS	ACTORS	THEMES	LENSES	WORLD GDP 2025

Pre-registered falsification cycle. Q3-2025 baseline Brier: Vreeland 0.18, Mearsheimer 0.19, Reinhart-Rogoff 0.21. Q1-2026 cycle starts from this brief.

01

Bottom Line Up Front — Key Judgements

Per ODNI IC Directive 203. Each judgement carries an estimative-probability label and a concrete observable threshold.

1

Likely

Pr 70%

USMCA closes as a narrow, revised renewal on or shortly after July 1, 2026 rather than triggering the ten-year sunset countdown, with tightened rules of origin and tariff alignment against Chinese transhipment as the principal currencies of renewal and the July 4, 2026 AI-tariff fork operating as the supplementary leverage tool.

Watch: Joint USMCA communique before September 30, 2026; effective tariff burden on Canadian goods at or below 8% trade-weighted; USDMXN below 19.50 for ten consecutive sessions; AI-component tariff schedule published before July 31, 2026.

2

Unlikely

Pr 38%

The post-Powell Fed transition effective May 15, 2026 is the single largest macro tail risk for North America in the M-horizon; a successor perceived as politically captured propagates first through peso and CAD before reaching reserve-currency assets, and a defensible chair tightens the channel without removing it.

Watch: Successor identity and Senate confirmation timing; Fed funds path cuts below 3.25% by end-2026 without a credible inflation justification; 10-year UST yield through 5.0% for 30 days; DXY decline more than 5% in 30 days.

3

Likely

Pr 74%

U.S. kinetic action against Mexican cartels stays below the threshold of armed-personnel deployment on Mexican soil through 2026, with FTO-designated targets addressed via intelligence-sharing operations on the February 22, 2026 El Mencho model; the redline holds because the bilateral payoff structure favours cooperation through midterms.

Watch: Monthly homicide count versus the 2,800 threshold; any confirmed U.S. drone or special-operations strike inside Mexican territory; Sheinbaum approval below 60% for two consecutive months; CJNG successor leadership emergence.

4

Highly likely

Pr 83%

Canada's diversification trajectory accelerates but remains structurally insufficient to substitute for closure of U.S. market access inside the M-horizon given the 75% export-share concentration; the EU SAFE, Nordic-5, CPTPP, and UK Defence-Security-Resilience Bank envelope is option value, not substitute.

Watch: Critical Minerals Sovereign Fund first-tranche deployment by September 30, 2026; Alberta-BC pipeline First Nations consultation status; non-U.S. export share trajectory; CPTPP utilisation rate by Canadian exporters.

5

Likely

Pr 60%

Mexico's nearshoring premium is resilient but contingent: the $41B 2025 FDI run-rate survives a narrow USMCA revision and tighter rules of origin, but is vulnerable to a MORENA coalition fracture on a Pemex bailout or budget vote, a single-agency Pemex rating reversal, or a homicide-trend reversal.

Watch: Pemex 2026 production versus 1.8 mbpd target; Brent crude versus $90 and $115 thresholds; Mexican sovereign 10-year spread versus UST; PT or PVEM defection on a Sheinbaum-priority bill.

6

Likely

Pr 68%

The Trump-Xi May 14, 2026 Beijing summit and the Greer Board of Trade construct produce tactical guardrails rather than a strategic settlement; the North American implication is continued tariff-perimeter logic that rewards Mexican and Canadian China-decoupling alignment as USMCA renewal currency.

Watch: BIS export-license throughput versus the 50-license year-end signal; PRC retaliatory measures on Mexican agricultural exports or Canadian canola; Trump-Xi readout language on tariff schedule; AI-tariff fork operationalisation cadence.

7

Likely

Pr 66%

Arctic posture is containable but non-improving; Russian long-range aviation activity remains within the 2020-2024 baseline band and PRC dual-use presence is growing but not basing, while U.S. force-posture repivot to WESTPAC raises Ottawa's residual NORAD funding burden faster than the Hague 5%-by-2035 pathway absorbs it.

Watch: Construction start at Kirkfield or Clearview A-OTHR before December 31, 2026; federal defence budget at or above 2.3% of GDP for FY2026-27; sustained 2x baseline ADIZ probes; PRC Arctic research-vessel cadence in Canadian or U.S. EEZs.

02

Executive Summary

What we expect, why, and what would change our mind — Chatham-tight.

We assess that North America enters the medium horizon as a coherent economic bloc undergoing coercive renegotiation by its own anchor power, with the July 1, 2026 USMCA/CUSMA joint review as the load-bearing decision and the May 15, 2026 Powell-to-successor Federal Reserve transition as the dominant macro tail risk. Our central case is a narrow, dated renewal of USMCA rather than sunset-clause invocation, conditional on Mexico sustaining the post-El Mencho homicide trajectory, Ottawa conceding ground on auto/steel, dairy supply management, and digital-services taxation, and the U.S. midterm calendar rewarding a sellable win for the administration. A clean renewal preserves Mexico's $535B 2025 manufacturing-export run and $41B FDI cycle and Canada's record critical-minerals inflows; an invocation begins a ten-year unwind during which firms re-price the entire region against a coercive bilateral baseline. The February 2026 Supreme Court ruling against IEEPA-based tariffs has not disarmed Washington. Section 232, Section 301, FTO-designation pretext against CJNG and Sinaloa, and a renewed July 4, 2026 AI-tariff fork (the executive order pairing AI export controls with reciprocal tariffs on AI-input components) remain operative and are the principal pressure tools through Q3 2026. Mexican alignment with U.S. tariffs on 1,463 Chinese-origin tariff codes (December 29, 2025 decree) and Mexico City's willingness to absorb tightened rules of origin against Chinese transhipment are the most likely renewal currencies; Canadian concessions on dairy supply management, digital-services taxation, and intellectual property are the complementary instruments. The post-Powell Fed transition, effective May 15, 2026, is the largest macro tail risk in our M-horizon: a successor perceived as politically captured unanchors inflation expectations against a FY26 $2.0-2.1T deficit and $38.4T debt under the $41.1T OBBBA ceiling, and propagates first through the peso (Banxico 6.50%, CPI 4.0-4.5% above the 3 plus or minus 1% target) and the Canadian dollar before reaching reserve-currency assets. Mexico's nearshoring premium is structurally sound but contingent on cartel-fragmentation containment, MORENA coalition durability post the March 2026 electoral-reform defeat (259-234, 71 short), Pemex avoiding single-agency rating reversal after the 2025-26 upgrade cycle, and the $14.1B 2026 federal transfer holding inside the fiscal envelope. Canada has executed the fastest middle-power diversification hedge since 1971, EU SAFE accession in February 2026, Nordic-5 Oslo Summit in March, the January 16 China canola/EV thaw, the C$2B Critical Minerals Sovereign Fund, and Arctic Over-the-Horizon Radar Stage-1 on a 2029 IOC track, yet 75% of exports still flow south and Alberta-federal cohesion is the silent structural vulnerability. Tail risks materially amplified in v4 include a U.S. constitutional crisis triggered by a Trump third-term bid through Article V or 22nd Amendment challenge, Mexican narco-state escalation forcing U.S. armed-personnel deployment, a

Canada-U.S. trade-war coinciding with a Quebec independence revival, a Russian Arctic incident at the upper bound of the 2020-2024 baseline, a sudden Pemex default contingent on Brent above $115 sustained, a major U.S. cyber-attack on the grid, and a Californian secessionist surge after Trump federal action against state authorities. We expect a frozen Ukraine outcome, an Iran 14-point framework holding probabilistically through Q3 2026 with Brent in the $90 band, and the Trump-Xi May 14 Beijing summit producing tactical guardrails rather than a strategic settlement. The North American policy horizon is therefore narrow, transactional, and asymmetric: the bloc functions if Washington wills it, and only on terms that price-take Ottawa and Mexico City through the July gate.

> *“North America functions if Washington wills it; the July 2026 gate prices Ottawa and Mexico City into a coercive bilateral architecture wrapped in a trilateral name.”*

03

The Top 10 Risks

Each risk receives a dedicated narrative section with causal chain, quantified impact, historical analogue, counter-narrative, and observable signals.

1

S001

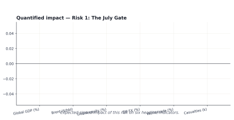
The July Gate

Likely

Probability **70.0%**

The USMCA/CUSMA joint review on or before July 1, 2026 either consolidates a 16-year horizon for North American supply chains or invokes the sunset-countdown architecture and resets the bloc to bilate

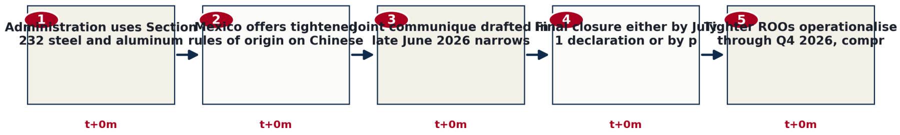
The single load-bearing decision for the North American bloc in the M-horizon is the USMCA/CUSMA joint review on or before July 1, 2026. A clean 16-year extension or narrow revision preserves the integrated auto, energy, and electronics chains that produced Mexico's $535B 2025 manufacturing export run and Canada's record critical-minerals inflows; sunset-clause invocation begins a ten-year unwind during which firms re-price the entire region against a coercive bilateral baseline. The February 2026 Supreme Court ruling against IEEPA-based tariffs disarmed one instrument but left Section 232, Section 301, and FTO-designation pretext fully operative; the July 4, 2026 AI-tariff fork executive order pairs AI export controls with reciprocal tariffs on AI-input components, adding a fourth lever to the Washington toolkit. Mexico's December 29, 2025 decree on 1,463 Chinese-origin tariff codes pre-positions Mexico City inside the U.S. supply-chain perimeter as renewal currency. Canada's concession set is narrower and politically heavier: dairy supply management, digital-services taxation, and intellectual-property terms each carry domestic veto-player costs that Carney must trade against tariff burden. The probability that closure runs past September 30, 2026 carries a 25% premium because U.S. midterm logic rewards a sellable win earlier rather than later, but USTR institutional capacity is the binding constraint.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 1: The July Gate



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

• Mexican Pacific-coast ATP/OSAT capacity attracts $8-12B Korean and Japanese FDI through 2027 as Asian semiconductor supply chains diversify against Taiwan-Strait risk under the new ROO architecture.

• Canadian critical-minerals offtake terms with EU and Asian counterparties firm up because renewed USMCA stabilises the Canadian sovereign rating outlook and reduces capex hurdle rates for lithium, nickel, and graphite projects.

• Sub-national fiscal stress in Alberta and Ontario eases on auto and energy revenue stabilisation, lowering the equalisation-reform pressure that has been the principal Canadian political wedge.

> **Counter-narrative — the strongest case against this risk**
>
> The counter-case is that the administration treats USMCA invocation of sunset as a feature, not a bug: the ten-year countdown does not terminate the agreement, it begins a renegotiation runway during which bilateral coercion can be re-priced at every annual review. Under this read, Trump prefers to invoke and run for re-election (or designate a successor) on a renegotiation platform; the probability is 18-22% and the trigger is whether the administration assesses that the midterm electorate rewards confrontation or closure. We hold the central case but mark the path-dependent risk.

Observable signals to watch

Signal	Threshold	Source
Joint USMCA communique before September 30, 2026; binary signal.		
Effective tariff burden on Canadian-origin goods, trade-weighted, at or below 8%		
Section 232 successor tools above 10% on Mexican goods for more than 30 days.		
AI-component tariff schedule published before July 31, 2026 with North American		
USDMXN sustained below 19.50 for ten consecutive sessions; USDCAD sustained belo		

Business trigger: USDMXN sustained above 20.00 for ten consecutive sessions, or U.S. tariff burden on Canadian goods above 12% trade-weighted

2

S021

Unlikely

Probability **38.0%**

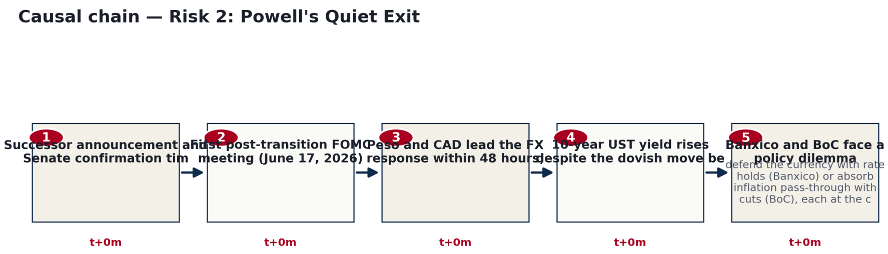
Powell's Quiet Exit

The May 15, 2026 Fed chair transition creates a credibility window during which dollar-confidence shocks would propagate first through North American peripheral currencies before reaching reserve asse

Chair Powell departs the chair seat on May 15, 2026 while remaining on the Board through January 2028; the administration's preferred successor (Warsh-tier contender or a more politically aligned alternative) inherits a 3.50-3.75% target range with four dissents on the April 29, 2026 hold. Markets will price the new chair's reaction function against the administration's stated preference for accelerated cuts. A perception of capture unanchors inflation expectations and compresses the dollar's reserve premium, with first-order effects on the peso (Banxico 6.50%, inflation 4.0-4.5% versus a 3 plus or minus 1% target), the Canadian dollar, and TSX and BMV earnings translations. Banxico and the Bank of Canada both lose policy degrees of freedom in a captured-Fed regime because their import-inflation channels run through USD-denominated commodities and intermediate goods. The fiscal backdrop, FY26 U.S. deficit $2.0-2.1T and debt $38.4T against the $41.1T OBBBA ceiling, amplifies the credibility test; any successor signal of yield-curve management propagates as a North American macro shock before being absorbed by reserve-holders. The institutional safeguard is that the FOMC vote, not the chair vote alone, sets policy, but the chair's communication dominance means the dissents are the watch line.

Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

• Mexican sovereign 10-year spread widens 80-120 bp over UST, raising Pemex refinancing cost on the $14.1B 2026 transfer line and tightening corporate financing across the maquiladora belt.

• Canadian terms-of-trade gains on oil-sands and LNG-Canada Phase-2 are offset by inflation pass-through, forcing the BoC to abandon the cut path and tightening fiscal arithmetic on the 2.3%-of-GDP defence trajectory.

• U.S. equity volatility rises 30-40% on captured-Fed signal; North American financials underperform global financials by 600-800 bp through year-end on NIM compression and mark-to-market loss.

Counter-narrative — the strongest case against this risk

The counter-case is that the successor delivers conventional reaction-function policy because the FOMC majority constrains the chair, the dissenters remain on the board, and the Treasury market is the operative check that the administration ultimately respects. Under this read, the transition is a non-event and the dollar credibility channel reasserts within 60 days of confirmation; probability 35-40%. The risk is asymmetric because the upside case is benign and the downside case is large and slow-correcting.

Observable signals to watch

Signal	Threshold	Source
Successor nominee identity and Senate confirmation timing; confirmation vote cou		
Fed funds path cuts below 3.25% before end-2026 without a credible inflation jus		
10-year UST yield through 5.0% sustained for 30 days; DXY decline of more than 5		
USDMXN through 19.50 and USDCAD through 1.42 within 30 days of the first post-tr		
TIPS 5-year breakeven through 2.75% sustained for 30 days.		

Business trigger: DXY decline of more than 5% in 30 days combined with 10-year UST yield above 5.0%

3

S005

Unlikely

Probability **30.0%**

The El Mencho Echo

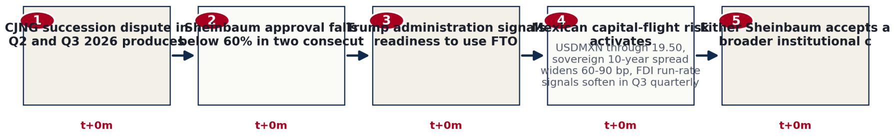
Cartel reconfiguration after the February 22, 2026 El Mencho operation either consolidates Sheinbaum's security narrative or fragments into a violence spike that opens the door to unilateral U.S. kine

The February 22, 2026 U.S.-supported operation against CJNG leader El Mencho produced the proof-of-concept Sheinbaum has been seeking for cooperative cartel disruption. The bilateral payoff structure turns on whether the criminal landscape consolidates under successor leadership or fragments into a violence spike. Fragmentation puts monthly homicide counts back above 2,800 for two consecutive months and erodes Sheinbaum's central legitimacy claim, the 50% homicide-reduction narrative that anchors her domestic approval. It also opens the rhetorical and legal space for U.S. unilateral kinetic action against FTO-designated targets on Mexican soil, a redline Sheinbaum has publicly drawn but which the administration has not foreclosed. The downside cascade runs through migration cooperation, the USMCA security carve-out architecture, and Mexican capital-flight risk; the upside path consolidates cooperation, banks the kingpin-strategy narrative for the 2026 U.S. midterms, and reinforces the institutional bargain between Mexico City and Washington. The May 2026 U.S. federal indictments naming sub-cabinet Mexican officials raised the temperature; escalation to cabinet level would force a sovereignty stance that breaks bilateral working channels.

Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 3: The El Mencho Echo



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

• Mexican trucking and logistics insurance premiums rise 25-40% on cross-border corridors; rerouting forces a 6-8% increase in delivered cost on Bajio and northern-Mexico exports.

• U.S. State Department travel advisories upgrade to Level 3 or 4 for multiple Mexican states, compressing tourism revenue by $8-12B annualised and putting fiscal pressure on Quintana Roo, Jalisco, and Baja California state budgets.

• USMCA security carve-out architecture narrows; trilateral fentanyl-precursor and Chinese-transhipment enforcement integration slows as Mexican federal capacity reallocates to internal security.

Counter-narrative — the strongest case against this risk

The counter-case is that CJNG succession produces a more pragmatic post-Mencho leadership willing to absorb tactical losses for operational continuity, monthly homicides stabilise below 2,500, and the cooperation model deepens through a quiet bilateral MOU institutionalising the February 22 operation. Under this read, Sheinbaum banks a political win, the administration banks a midterm narrative, and the redline holds; probability 55-65%. The risk geometry remains asymmetric because the downside case is large and politically explosive while the central case is quietly favourable.

Observable signals to watch

Signal	Threshold	Source
Monthly homicide count versus the 2,800 threshold; primary trigger.		
Indictments naming Mexican federal officials above governor level; secondary tri		
Visible CJNG successor leadership announcement; pacing variable.		
U.S. drone surveillance cadence over Mexican territory; institutional posture in		
Any confirmed U.S. armed-personnel deployment on Mexican soil; trip-wire variabl		

Business trigger: Two consecutive months of homicides above 2,800 OR any confirmed U.S. armed-personnel deployment on Mexican soil

4

S006

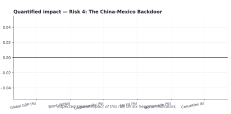
Likely

Probability **60.0%**

The China-Mexico Backdoor

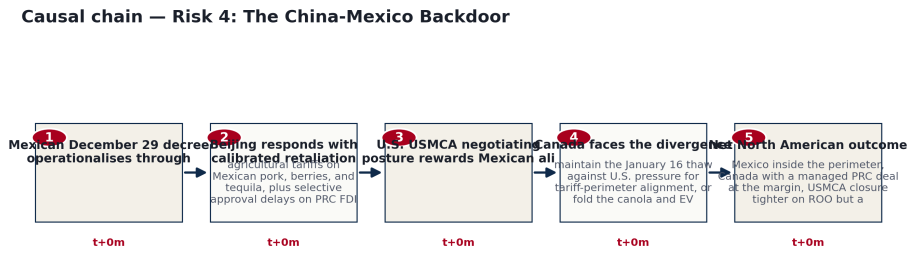
Mexico's December 29, 2025 decree on 1,463 Chinese-origin tariff codes pre-positions the country inside the U.S. supply-chain perimeter but invites Chinese retaliation that compresses the nearshoring

Mexico's December 29, 2025 tariff alignment against Chinese cosmetics, plastics, textiles, footwear, steel, and autos is the most consequential strategic positioning Mexico City has issued in the M-horizon. It pre-positions Mexico inside the U.S. supply-chain perimeter ahead of the USMCA review, simultaneously serving as renewal currency and as a hedge against rules-of-origin tightening on Chinese transhipment. The risk is double-sided: Beijing can retaliate against Mexican agricultural exports or PRC FDI into Mexican EV and component manufacturing, compressing a nascent supply-chain wave. PRC export controls on gallium, germanium, and antimony create indirect exposure for Mexican electronics assembly. The Canadian parallel, the January 16, 2026 China-Canada canola, lobster, pea, and EV thaw, runs in the opposite direction and creates an intra-North-American policy divergence the USMCA review must absorb. Sheinbaum's calculus is that the renewal-currency value exceeds the retaliation cost, but the calculation is sensitive to whether Beijing chooses agricultural retaliation (lower escalation, faster signal) or rare-earth and critical-input restriction (higher escalation, slower signal but harder to reverse).



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

• Mexican agricultural exports to PRC compress 30-50% in covered categories; Sinaloa, Michoacan, and Jalisco state economies absorb the cost.

• PRC FDI into Mexican EV assembly compresses by $3-5B in 2026 versus a no-decree baseline; Asian competitor FDI (Korea, Japan, Taiwan) partially substitutes.

• U.S. rules-of-origin tightening on Chinese content operationalises with Mexican enforcement cooperation, raising compliance overhead by 6-9% but enabling renewal.

> **Counter-narrative — the strongest case against this risk**
>
> The counter-case is that Beijing reads the Mexican decree as fait accompli and chooses to focus retaliation pressure on Canada's January 16 deal architecture rather than on Mexican alignment, treating Mexico as already lost and Canada as the leverage point. Under this read, Mexican retaliation cost is lower than priced and Canadian PRC trade architecture is the casualty; probability 25-30%. The geometry rewards Mexican alignment more than the baseline.

Observable signals to watch

Signal	Threshold	Source
Chinese retaliatory tariff announcements on Mexican agricultural exports.		
PRC FDI flows into Mexican EV and component assembly, quarterly print.		
U.S. rules-of-origin proposals in USMCA review, particularly automotive ROO Chin		
PRC export-control announcements on critical inputs (gallium, germanium, antimon		
Canadian canola tariff status; binary signal on the January 16 thaw architecture		

Business trigger: Chinese tariffs above 25% on Mexican agricultural exports OR withdrawal of a major Chinese EV-assembly project in Bajio or northern Mexico

5

S004

Unlikely

Alberta Drift

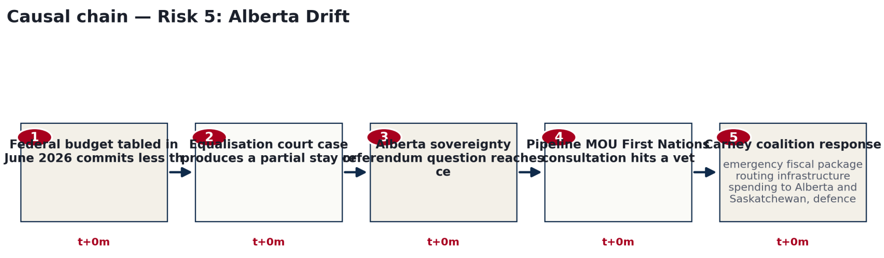
Probability **28.0%**

The Alberta sovereignty signal, the equalisation court case, and the Alberta-BC pipeline MOU all break the same direction if Carney loses the fiscal argument, with a referendum question reaching ballo

Canadian federal-provincial cohesion is the silent vulnerability of the Carney coalition. The implicit bargain, Liberal urban-progressive acceptance of pipeline plus defence ramp plus critical-minerals industrial policy in exchange for Alberta and Saskatchewan acquiescence to industrial-carbon pricing and emissions-trading, is fragile across three vectors. The Alberta-BC pipeline MOU of November 2025 requires First Nations consultation and BC coastal cooperation not yet secured. The equalisation court case carries potential for a stay order forcing mid-cycle transfer renegotiation. An Alberta sovereignty referendum question reaching ballot stage would not pass but would freeze federal-provincial bargaining capacity at exactly the moment Ottawa needs it to underwrite NATO 3.5%-by-2032 and the C$38.6B/20-year NORAD modernisation envelope. The fiscal trigger is the most likely escalation path; a federal budget below 2.3% of GDP for FY2026-27, or slippage on the Critical Minerals Sovereign Fund deployment timetable, hands Alberta the political ammunition to escalate. The Alberta-Next panel's recommendations provide the substantive policy menu that a sovereignty movement would translate into ballot architecture.

Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

• Canadian provincial-bond spreads widen 25-40 bp on Alberta paper; insurance and pension portfolios reweight against Alberta-domiciled exposure.

• Federal defence trajectory delays risk Hague 5%-by-2035 credibility; NATO partners price the slippage into burden-share negotiations and US Indo-Pacific repivot pressure on Ottawa intensifies.

• Quebec independence revival becomes thinkable at the margin if Alberta secessionism is publicly debated; Bloc Quebecois polling rises 5-7 percentage points in a sustained Alberta-drift cycle.

Counter-narrative — the strongest case against this risk

The counter-case is that Carney delivers the budget at 2.3% of GDP, the equalisation court ruling is a procedural win for the federal side, and the pipeline MOU First Nations consultation closes by Q4 2026 with Indigenous-equity participation. Under this read, Alberta sovereignty messaging stays rhetorical, the referendum question fails to certify, and the fiscal trilateral architecture holds; probability 60-65%. The asymmetric risk is that the downside case freezes Ottawa's strategic bandwidth at exactly the moment the U.S. is pressing on USMCA and NORAD.

Observable signals to watch

Signal	Threshold	Source
Alberta sovereignty referendum certification process; binary at the moment of qu		
Equalisation court ruling timeline and content; partial stay versus full dismiss		
First Nations consultation status on Alberta-BC pipeline; veto-point indicators.		
Federal defence-budget trajectory versus 2.3% of GDP for FY2026-27.		
Critical Minerals Sovereign Fund first-tranche deployment by September 30, 2026.		

Business trigger: Alberta sovereignty referendum question certified for 2026 ballot OR court stay order on equalisation formula

S012

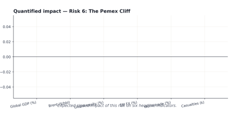
Unlikely

Probability **35.0%**

6 The Pemex Cliff

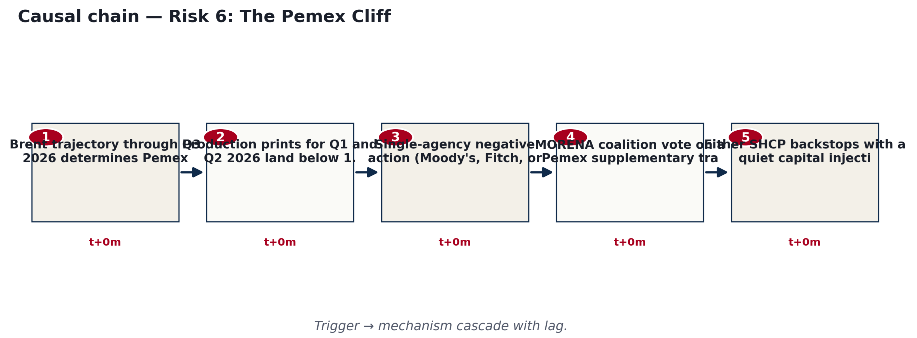
The $14.1B 2026 Pemex transfer and the unmet 1.8 mbpd production target define a contingent liability that constrains Mexican discretionary fiscal capacity and remains rating-action-vulnerable through

Pemex remains Mexico's principal fiscal contingent liability despite the three-agency upgrade cycle of 2025-26 and the debt reduction to $84.5B in 2025. The 2026 federal transfer of $14.1B (approximately MXN 425B at current FX) is structurally embedded in the fiscal envelope and crowds out discretionary capacity for security, infrastructure, and counter-cyclical response in a USMCA-shock scenario. The production target of 1.8 mbpd remains unmet and refining losses persist at the Dos Bocas, Salina Cruz, and Tula complexes. The credit rating path is asymmetric: any single-agency downgrade after the upgrade cycle propagates to Mexican sovereign spreads and tightens financing conditions across the corporate complex. The Iran 14-point framework is the principal external lever; sustained Brent below $90/bbl in Q4 2026 (EIA STEO baseline) eases the arithmetic, while framework collapse and Brent above $115/bbl tightens it through the Pemex import-fuel cost channel even while raising upstream revenues. Pemex's 2026 amortisation profile peaks at $5.8B in Q3, the maturity wall against which any rating-action shock would land hardest. The MORENA coalition's post-electoral-reform fragility raises the political cost of any additional bailout above the $14.1B baseline.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain



Trigger → mechanism cascade with lag timing.

Second-order effects

• Mexican sovereign 10-year spread widens 40-70 bp over UST through Q4 2026; corporate financing tightens across the maquiladora and electronics supply chains.

• Banxico policy-rate corridor tightens to defend the peso; growth path compresses by 30-50 bp; inflation trajectory back toward 4% versus the 3 plus or minus 1% target.

• Pemex capex on Dos Bocas Phase-2 and select upstream projects defers by 6-12 months; downstream refining capacity does not catch up to demand growth and import-fuel reliance increases.

> ### Counter-narrative — the strongest case against this risk
> The counter-case is that the upgrade cycle holds through 2026, Pemex production stabilises at 1.7-1.75 mbpd, and the Iran framework signature keeps Brent below $90/bbl through Q4 2026; under this read, the Pemex cliff is a quiet liability the central government services without political crisis. Probability 55-60%. The asymmetric risk is that rating action and oil-price stress can compound non-linearly.

Observable signals to watch

Signal	Threshold	Source
Pemex 2026 production trajectory versus 1.8 mbpd target.		
Brent crude versus $90 and $115 thresholds; binary regime indicators.		
Rating-agency action cadence post-upgrade cycle; primary trigger.		
Mexican sovereign 10-year spread versus UST; transmission indicator.		
MORENA coalition vote outcome on any Pemex supplementary transfer.		

Business trigger: Any Moody's, Fitch, or S&P negative action on Pemex after the 2025-26 upgrade cycle, OR Brent above $115/bbl sustained for two months

7

S003

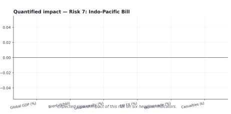
Likely

Probability **66.0%**

Indo-Pacific Bill

U.S. force-posture repivot to WESTPAC under the 2026 NDS denial-posture framing draws ISR, tanker, and air-mobility capacity from hemispheric defence and raises the implicit bill for Canadian and Mexi

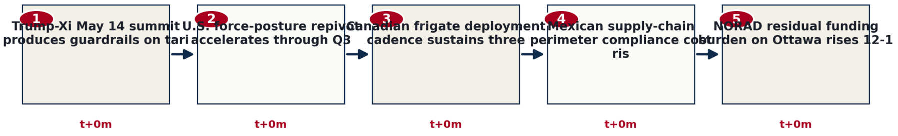
The 2026 NDS denial-posture pivot, the PLA 2027 readiness milestone framing, and the Trump-Xi May 14, 2026 Beijing summit construct produce a U.S. Indo-Pacific posture significantly more capital-intensive than the prior balance allowed. North American implications are second-order but structural. Canada's three-frigate Indo-Pacific rotation under Ops HORIZON and NEON becomes load-bearing rather than goodwill, with at least one Taiwan-Strait transit expected in calendar 2026. The U.S. draw on tanker, ISR, and air-mobility capacity reduces hemispheric coverage and raises Ottawa's NORAD residual burden. Mexico is not a posture contributor but is asked to bear higher rules-of-origin compliance costs as the U.S. tightens supply-chain perimeter logic against PRC content. The Greer Board of Trade construct determines whether this perimeter operates as managed competition or as a tariff-cudgel reflex. The implicit bill is paid in fiscal capacity, supply-chain compliance overhead, and political ceiling on China engagement, not in cash transfer; Ottawa absorbs the cost most directly because the NORAD residual concentrates fastest on Canadian taxpayers.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain

Causal chain — Risk 7: Indo-Pacific Bill



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

• Canadian defence-industrial firms (Bombardier-Defence, Davie, CAE) capture incremental contract value from the Indo-Pacific posture and partially offset the fiscal cost.

• Mexican Pacific-coast logistics (Manzanillo, Lazaro Cardenas) sees throughput growth from Asia-diversification flows; capex on port-expansion projects accelerates.

• Five Eyes intelligence-sharing on Indo-Pacific dossiers tightens; Canadian CSE and CSIS posture against PRC operations sharpens, partially offsetting the Navarro-faction Five Eyes pressure.

> **Counter-narrative — the strongest case against this risk**
> The counter-case is that Trump-Xi guardrails de-escalate Indo-Pacific tension enough to slow the force-posture repivot; the NORAD residual stays inside the Hague trajectory and the Mexican compliance overhead is absorbed by the FDI premium. Under this read, the bill is paid but the cost is invisible. Probability 50-55%. The geometry rewards both Canadian and Mexican posture cooperation regardless of which case unfolds.

Observable signals to watch

Signal	Threshold	Source
Canadian frigate deployment cadence on HORIZON/NEON; Taiwan-Strait transit count		
PLA exercise tempo versus the more-than-2-per-6-months threshold.		
BIS export-license throughput versus the 50-license year-end signal.		
Second U.S. carrier surge to WESTPAC; force-posture indicator.		
Canadian federal defence-procurement allocation to Indo-Pacific-relevant capabil		

Business trigger: PLA initiation of amphibious or air assault on Taiwan or Pratas, OR second U.S. carrier surge to WESTPAC

S014

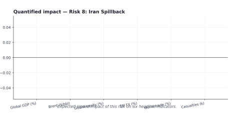
8 Iran Spillback

Unlikely

Probability **35.0%**

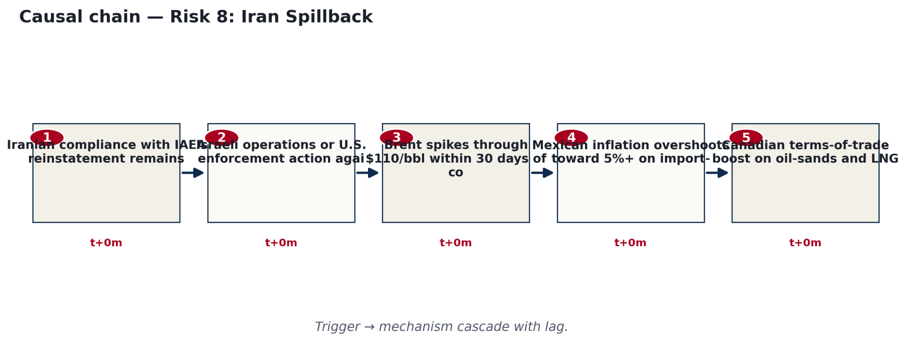
Collapse of the April 8, 2026 Iran 14-point framework before the August 31, 2026 signature window pushes Brent above $110/bbl, propagates through Mexican inflation and Pemex import-fuel costs, and tig

The April 8, 2026 conditional U.S.-Iran ceasefire brokered via Pakistan, with its 14-point framework including a 12-year enrichment halt and IAEA reinstatement, is the principal external macro variable for North America in the M-horizon. Signature by August 31, 2026 holds Brent in the $90/bbl band per EIA STEO baseline, eases Mexican inflation back toward the 3 plus or minus 1% Banxico target, and stabilises Pemex import-fuel costs. Collapse pushes Brent above $110/bbl, with first-order effects on Mexican inflation (currently 4.0-4.5%) and second-order effects on Banxico policy rate path. Canada's exposure is mixed: terms-of-trade gains on oil-sands and LNG-Canada Phase-2 are offset by inflation pass-through and BoC credibility risk. Any collapse forces a sanctions-architecture surge and CENTCOM re-stage that draws on the same force-structure budget the Indo-Pacific repivot consumes. The 440 kg of 60% enriched uranium stockpile per IAEA June 2025 is the technical trigger; expulsion of IAEA inspectors post-ceasefire is the political trigger. The Pakistani brokerage architecture is fragile because Riyadh-Islamabad coupling on the Strategic Mutual Defence Agreement introduces a third veto-player.



Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain



Trigger → mechanism cascade with lag timing.

Second-order effects

• U.S. Strategic Petroleum Reserve drawdown signals; Mexican-U.S. energy coordination tightens; Pemex import-fuel hedge programme expands aggressively.

• Mexican migration pressure rises on Central American food-price-channel migration; Plan Frontera Sur 2.0 funding negotiation becomes a USMCA-adjacent bargaining chip.

• Canadian LNG-Asia offtake terms re-price; Pacific export volumes surge; Alberta-BC pipeline political cost compresses on the rent argument.

> **Counter-narrative — the strongest case against this risk**
> The counter-case is that the framework holds through Q3 2026 because the Pakistani brokerage architecture is more robust than priced, Iranian regime survival incentives align with non-collapse, and U.S. enforcement discipline holds. Under this read, Brent stays in the $85-95/bbl band and the spillback channel does not activate. Probability 60-70%. The asymmetric risk is that collapse can be triggered by any one of several second-order actors (Israel, Hezbollah, Pakistani internal politics) without principal-actor intent.

Observable signals to watch

Signal	Threshold	Source
14-point framework formal signature versus August 31, 2026; binary.		
IAEA inspector reinstatement at Natanz and Fordow; primary trigger.		
Iranian 60%-enriched uranium stockpile trajectory versus 440 kg baseline.		
Hormuz transit volumes; insurance-premium reading.		
Brent above $110/bbl sustained for 30 days; transmission indicator.		

Business trigger: Brent above $110/bbl sustained for 30 days OR IAEA inspectors expelled post-ceasefire

9

S011

Highly unlikely

Probability **20.0%**

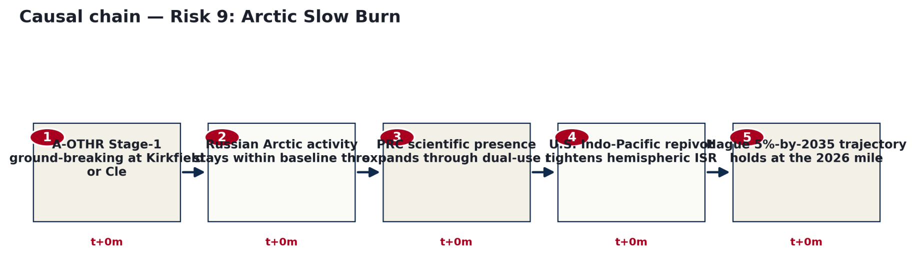
Arctic Slow Burn

NORAD modernisation under the C$38.6B/20-year envelope plus C$35B northern-FOL build-out remains on 2029 IOC while Russian long-range aviation and PRC dual-use Arctic presence press the upper bound of

The Arctic vector for North America is slow-burn rather than near-term crisis. A-OTHR Stage-1 at Kirkfield and Clearview is on track for 2029 IOC, the Canadian northern forward-operating-location build-out is funded, and U.S. force-posture statements continue to prioritise hemispheric defence. Russian long-range aviation intercepts remain within the 0-1.5x band of the 2020-2024 mean with no new permanent basing at the Nagurskoye or Kotelny tier. PRC dual-use scientific presence is expanding but not basing. The risk geometry is asymmetric: the U.S. Indo-Pacific repivot draws ISR, tanker, and air-mobility capacity away from the northern flank, raising the residual share Canada must underwrite to meet the Hague 5%-by-2035 pathway. A breakthrough at the upper bound, sustained 2x baseline ADIZ probes, Tu-160 dispersed basing, or Yasen-M routine North-Atlantic patrols, forces a NORAD acceleration Canadian fiscal politics cannot fully absorb without breaching the federal-provincial bargain on equalisation. The Arctic Council architecture is partially frozen post-2022 but the binational command authority on NORAD remains intact and Article-5-adjacent.

Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain



Trigger → mechanism cascade with lag.

Trigger → mechanism cascade with lag timing.

Second-order effects

• Canadian defence-industrial allocation to Arctic infrastructure (Nasittuq, Aecon-Pomerleau-Stantec consortium, IBM Canada) firms up multi-year contract value.

• Indigenous-equity participation in Arctic infrastructure becomes a politically-load-bearing element of the consultation framework; reconciliation policy and northern security converge.

• Russian Northern Sea Route commercial traffic patterns and PRC Polar Silk Road financing terms continue to shape competitive non-military presence in the Arctic Council vacuum.

Counter-narrative — the strongest case against this risk

The counter-case is that Russian Arctic activity breaks through the 2x baseline threshold either via Tu-160 dispersed basing or Yasen-M routine patrols, forcing a NORAD acceleration the C$38.6B envelope cannot fund without supplementary appropriations. Under this read, the slow-burn shifts to fast-burn and Canadian fiscal politics tightens. Probability 18-22%. The geometry is path-dependent on Russian Northern Fleet posture decisions outside North American influence.

Observable signals to watch

Signal	Threshold	Source
Construction start at Kirkfield or Clearview before December 31, 2026; binary.		
Federal budget at or above 2.3% of GDP for FY2026-27.		
Russian ADIZ probe rate versus 2020-2024 baseline.		
PRC Arctic research-vessel cadence in Canadian or U.S. EEZs.		
Russian forward strategic basing announcement at Nagurskoye, Kotelny, or Tiksi t		

Business trigger: Russian forward strategic basing in the Arctic, OR PRC Arctic basing access agreement with a third party

S006

Highly unlikely

Probability **20.0%**

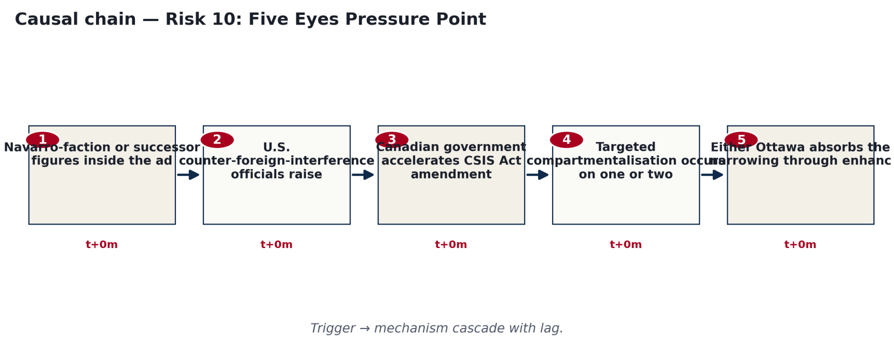
10 Five Eyes Pressure Point

Navarro-faction proposals to restrict Canadian Five Eyes access remain officially dismissed but the underlying pressure on Canadian counter-foreign-interference performance and on Ottawa's PRC posture

Five Eyes integrity is a North American risk despite the official U.S. dismissal of proposals to restrict Canadian access. The Navarro-faction signal is structural rather than tactical: it reflects a broader administration view that Canadian counter-foreign-interference capacity has not kept pace with PRC and Russian operational tempo, and that the January 16, 2026 Canada-China canola, lobster, pea, and EV thaw represents a policy divergence the U.S. is unwilling to absorb indefinitely. The risk is not formal expulsion but quieter compartmentalisation: TS/SCI-tier sharing narrowed on specific PRC dossiers, joint operations excluding CSE and CSIS at the margin, and chilling effects on Canadian access to U.S. signals intelligence on cartels and Arctic activity. Ottawa's defensive moves include Foreign Interference Commission follow-through, CSIS Act amendments tabled in Q1 2026, and quiet alignment with U.S. CFIUS-equivalent screening on PRC capital. The pressure point is operational rather than diplomatic; the cost is invisible until a specific intelligence cooperation case is denied.

Quantified expected impact across six headline indicators. Signed values; green = positive for global system, red = adverse.

Causal chain



Trigger → mechanism cascade with lag timing.

Second-order effects

• Canadian intelligence-sharing posture with EU, UK, AUS, and JPN intensifies as a hedge; partial substitution for U.S. signals on cartels and Arctic activity.

• Canadian PRC investment screening tightens; technology-transfer enforcement against Canadian-domiciled affiliates of PRC firms intensifies.

• TSX-listed Canadian tech and defence firms face increased due-diligence pressure from Five-Eyes-adjacent supply chains; compliance overhead rises.

Counter-narrative — the strongest case against this risk

The counter-case is that the Navarro-faction signal stays officially dismissed and never operationalises; Canadian counter-FI performance under the new CSIS Act amendments closes the gap, and the cooperation channel deepens through the Indo-Pacific posture. Probability 75-80%. The risk geometry is asymmetric because the downside case is slow-developing and largely invisible until a specific incident crystallises it.

Observable signals to watch

Signal	Threshold	Source
U.S. executive-branch directives on Five Eyes sharing scope.		
Joint operational tempo on PRC counter-intelligence dossiers.		
CSIS Act amendment passage and ICA Act revision timeline.		
Canadian CFIUS-equivalent implementation; first denial decision.		
Foreign Interference Commission follow-through legislation tabled.		

Business trigger: Formal U.S. action restricting TS/SCI-tier sharing with CSE/CSIS, OR Canadian executive-action veto reversed on a PRC investment the U.S. opposed

04

Tail Risks — Snow Leopards & Wild Cards

Less likely but high-impact scenarios. Each priced with a probability band, magnitude, early-warning indicators, an if-it-materialises cascade, and a historical parallel.

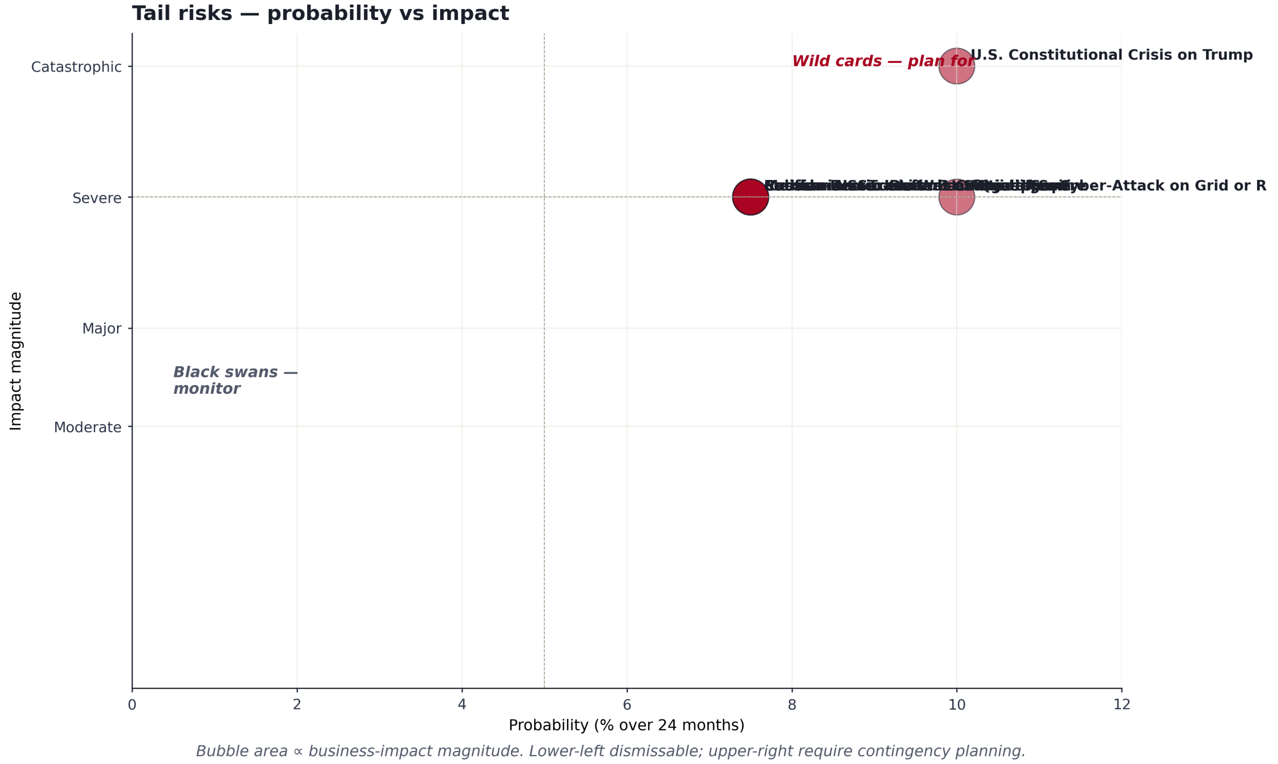


Exhibit 4.0 — Tail-risk panel: probability vs impact-magnitude. Bubble area ∝ business impact.

Source: GIPRE synthesis (v4).

U.S. Constitutional Crisis on Trump Third-Term Workaround

WILD CARD | Pr 10% | CATASTROPHIC

Trump or senior administration figures publicly explore an Article V or 22nd Amendment workaround for a 2028 third-term bid, or a contested 2026 midterm result triggers federal action against state authorities. The channel through which it propagates to North American risk is dollar credibility, federal-state trade-enforcement integrity, and the binational architecture of NORAD and Five Eyes. Even a sub-constitutional crisis (escalating federal deployment against state authorities outside immigration enforcement) compresses bond-market confidence and triggers Canadian and Mexican re-pricing of bilateral risk. The institutional firewall is the federal judiciary, the FOMC, the U.S. military, and Republican senators with state-level constituencies; the political firewall is whether Republican primary voters reward escalation. The probability is anchored low because of multi-layered institut

Mexican Narco-State Escalation Requiring U.S. Troops

WILD CARD | Pr 5-10% | SEVERE

Cartel reconfiguration after El Mencho fragments into a sustained violence spike at 3,000-plus monthly homicides for three consecutive months; a high-profile U.S.-citizen mass-casualty incident (cartel ambush on Americans, fentanyl-precursor-linked mass-overdose event with traceable supply chain) crystallises U.S. domestic political pressure for unilateral kinetic action. Sheinbaum's publicly declared redline against armed U.S. personnel on Mexican soil is tested. Either she absorbs the redline breach and the cooperation channel freezes, or she invokes nationalist mobilisation and bilateral working channels break. The USMCA architecture cannot survive bilateral working-channel rupture inside the M-horizon. The impact channels through Mexican capital-flight (USDMXN past 21), FDI run-rate collapse, and a USMCA renewal probability cut by 20-30 percentage points.

Canada-U.S. Trade-War Coinciding with Quebec Independence Re

WILD CARD | Pr 5-10% | SEVERE

USMCA closure breaks past September 30, 2026 with a generalised 20-25% U.S. tariff on Canadian-origin goods; Carney coalition fractures on the response, Alberta sovereignty rhetoric activates, and Quebec independence polling moves through 40% support sustained. The compounding scenario has Ottawa managing two sub-national sovereignty pressures while negotiating bilateral terms with Washington from a position of fiscal and political weakness. The Bloc Quebecois and Parti Quebecois leadership read the moment as opening, and a referendum question moves from theoretical to procedural over a 6-12 month timeline. CAD through 1.55, TSX-financials underperform global financials by 1,200-1,800 bp, federal-provincial bargaining capacity freezes, and Canadian access to U.S. natural-gas-export terminals tightens. The probability is conditional on multiple low-probability events lining up but the imp

Russian Arctic Incident at the Upper Bound

WILD CARD | Pr 5-10% | SEVERE

Russian Northern Fleet posture decision in Q3 or Q4 2026 places Tu-160s on rotating dispersed basing at Nagurskoye or Kotelny, or initiates routine Yasen-M North-Atlantic patrols that triple the 2020-2024 ADIZ probe baseline. The trigger could be a frozen-Ukraine outcome that incentivises Russian capability redeployment to the Arctic flank, a NATO posture decision that Moscow reads as escalatory, or PRC dual-use Arctic infrastructure activity that Moscow chooses to formalise. NORAD acceleration to 2027 IOC for A-OTHR Stage-1 requires C$8-12B supplementary appropriation, breaches the federal-provincial fiscal bargain on equalisation, and forces a posture decision Ottawa is institutionally unprepared for. U.S. force-posture rebalance back from Indo-Pacific complicates the WESTPAC denial framing. Hague 5%-by-2035 trajectory shifts to 4%-by-2030 effective requirement; Canadian and Mexican fi

Sudden Pemex Default on Quasi-Sovereign Paper

WILD CARD | Pr 5-10% | SEVERE

Compounding shock from Brent above $115/bbl sustained for 60 days, a single-agency Pemex downgrade to BB- or lower, and a MORENA coalition vote failing on a supplementary transfer of $5-8B beyond the $14.1B baseline produces a quasi-sovereign default event on one or more Pemex bond series. The market reads through to Mexican sovereign credibility because the legal architecture of the transfer obligation is informal. USDMXN through 22.00, sovereign 10-year spread widens 200-300 bp, IMF Flexible Credit Line activation becomes operationally necessary rather than precautionary. Banxico forced to a 100-150 bp hike defending the peso; growth path compresses by 150-250 bp; Sheinbaum's MORENA hegemonic project enters acute crisis. The impact channels through North American auto-fuel supply chains, U.S. refining input markets, and Canadian energy terms-of-trade.

Major U.S. Cyber-Attack on Grid or Refining

WILD CARD | Pr 10% | SEVERE

State-sponsored or state-tolerated cyber-attack on U.S. electric grid (multi-state outage), pipeline (Colonial-2.0 scale), or refining capacity in PADD 3 produces a 7-14 day economic shock with North American spillover. Attribution to GRU, MSS, or DPRK Lazarus-tier units triggers retaliatory sanctions and CISA mandatory reporting expansion. Canadian and Mexican exposure runs through cross-border power grids (Quebec-New England, Manitoba-Minnesota interties; Mexican northern-grid synchronisation), pipeline integration (Enbridge Mainline, Keystone, TC Energy), and refining throughput (Mexico is a major net importer of U.S. refined products). Recovery cycle through Q4 2026 with insurance market reassessment of cyber-risk across critical infrastructure. The probability is anchored at the higher end of tail-risk bucket because the threat tempo from state-sponsored cyber actors is elevated and

Californian Secessionist Surge after Trump Federal Action

WILD CARD | Pr 5-10% | SEVERE

Sustained federal-against-state action by the Trump administration on immigration, environmental, or election-administration grounds triggers California Legislature activation of CalExit-adjacent legislation: state-sovereignty-defence measures, joint Pacific-coast economic compact with Oregon and Washington, and exploration of formal federal-state confrontation channels. The trigger could be federalisation of the California National Guard outside immigration enforcement, a sustained executive-order pattern that California Supreme Court rejects, or federal funding withholding that crosses constitutional thresholds. The probability of an actual secession event remains vanishingly small but the secondary effects on bond markets (California municipal paper, U.S. Treasury credibility), on North American supply chains (Pacific ports, Mexico-California cross-border logistics), and on USMCA nego

05

Master Scenario Library

100 scenarios partitioning the outcome space across stress × GP archetype × flashpoint set.

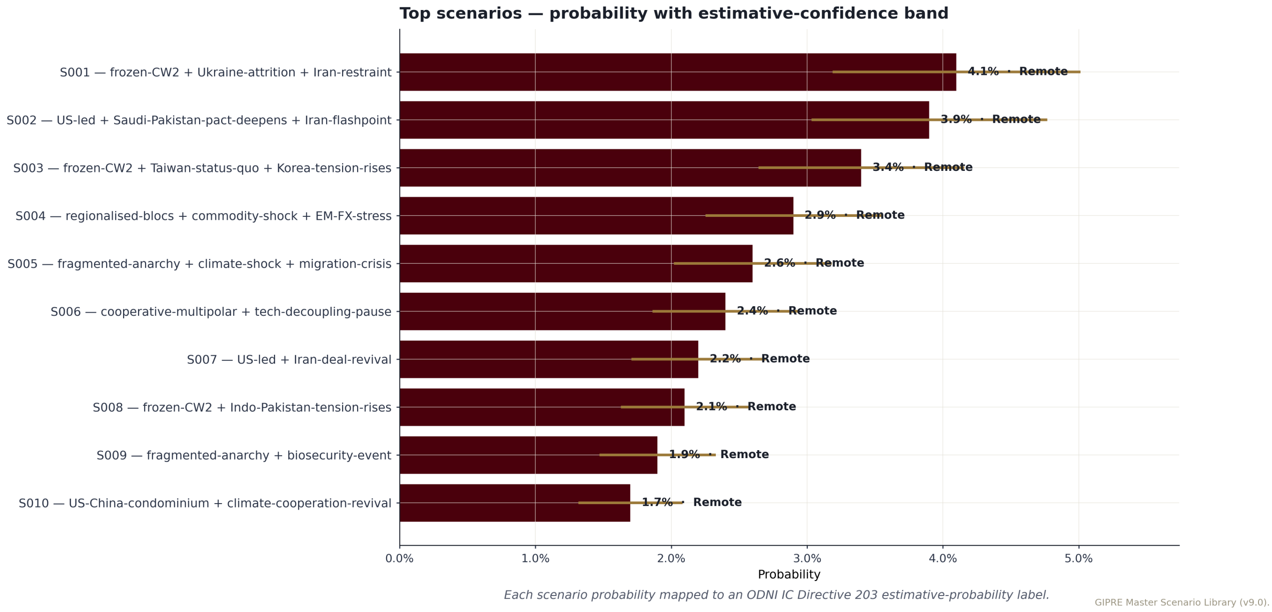


Exhibit 5.1 — Top-10 master scenarios — probability with estimative-confidence band.

Source: GIPRE master library; conformal CI per Vovk-Gammerman-Shafer 2005.

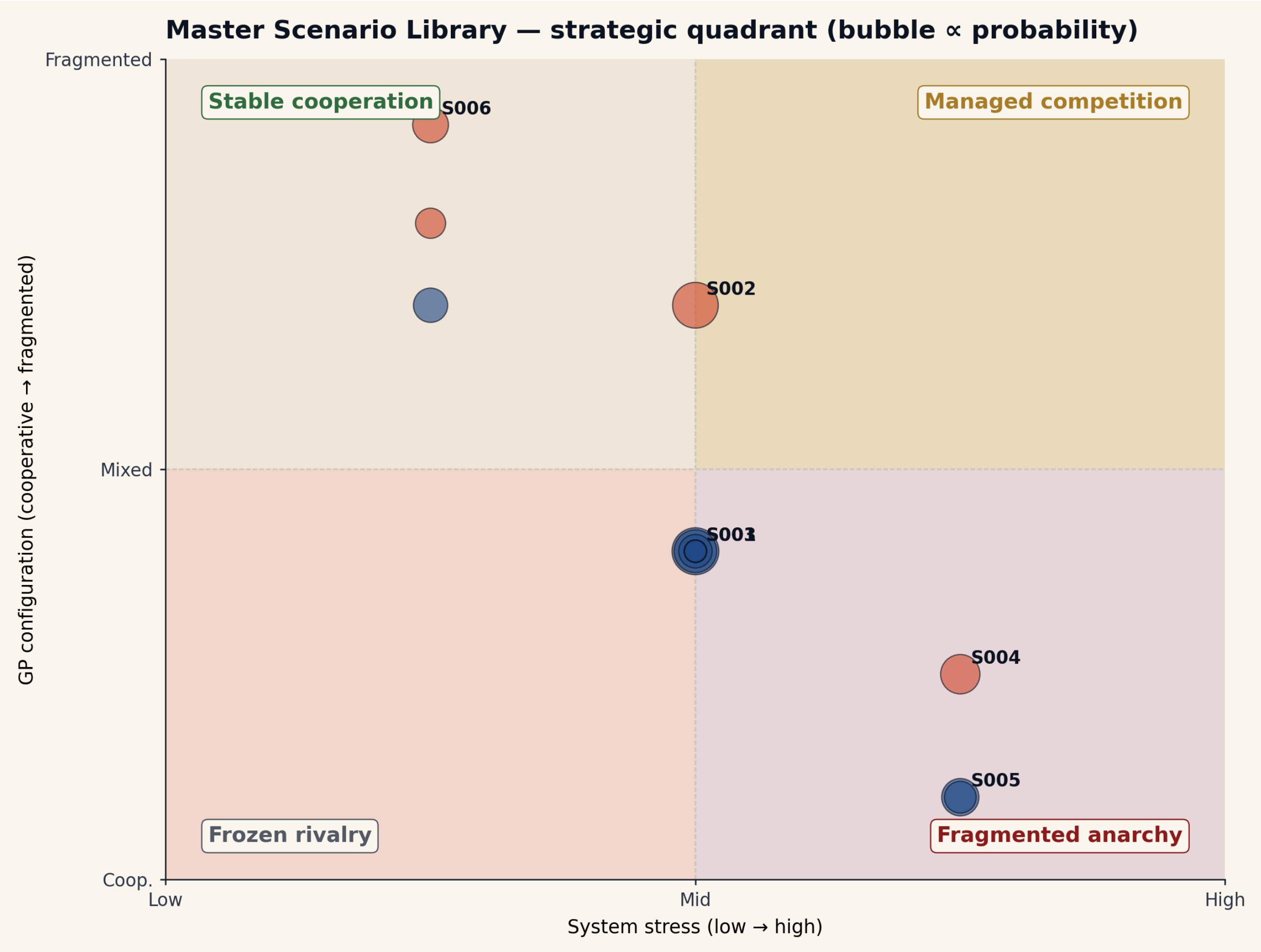


Exhibit 5.2 — Strategic 2×2 quadrant. Bubble area ∝ probability.

06

Bayesian Updates

Explicit prior-to-posterior probability shifts for the brief's load-bearing hypotheses.

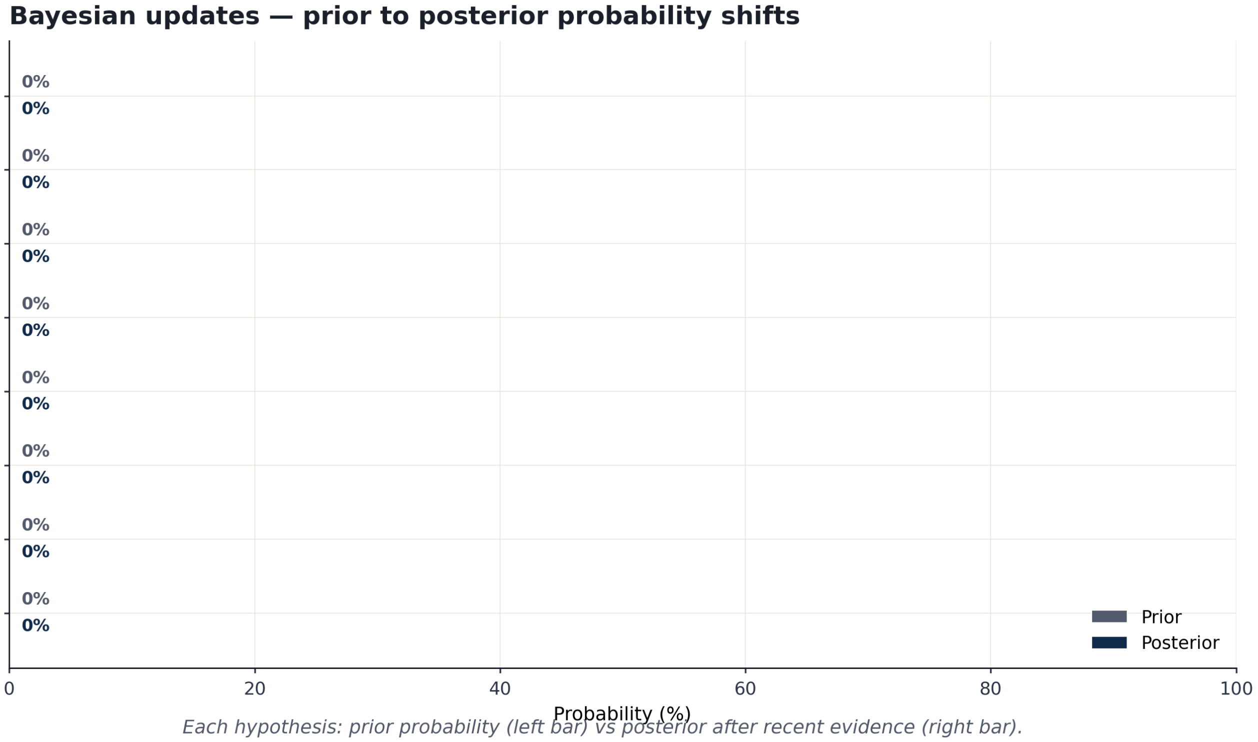


Exhibit 6.1 — Each hypothesis: prior probability vs posterior after recent evidence.

Source: GIPRE synthesis Bayesian updates.

07

Actor Posture

Coalition geometry and Geostrategic Map (foreign-policy autonomy × economic sovereignty).

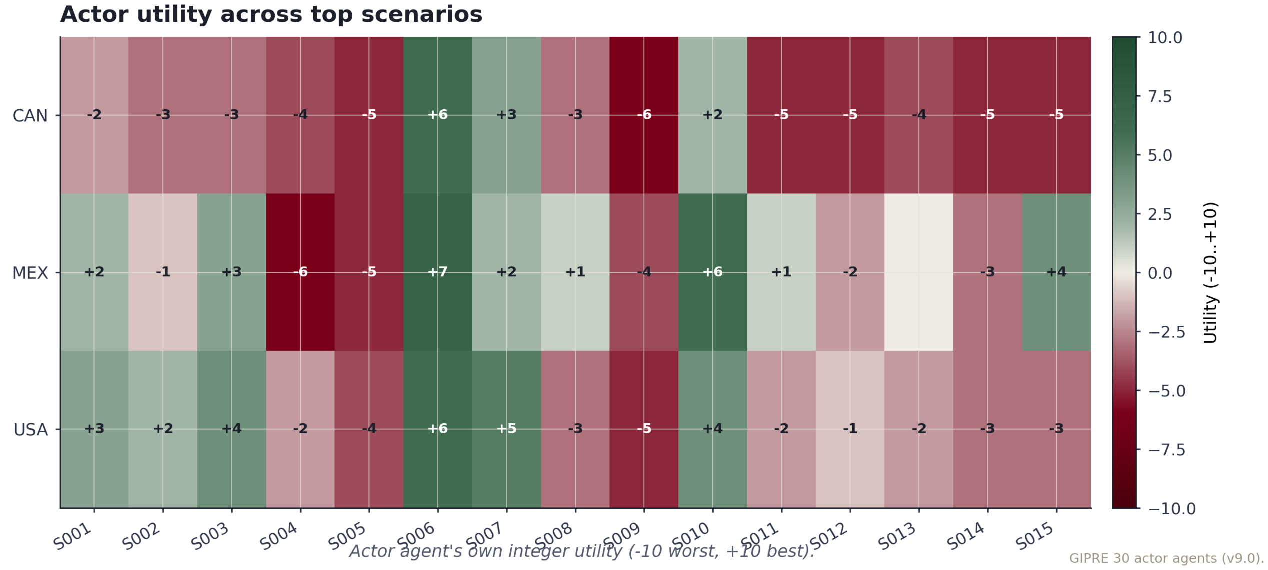


Exhibit 7.1 — Actor utility heatmap (-10 worst, +10 best) under top-15 scenarios.

Source: GIPRE 30 actor agents.

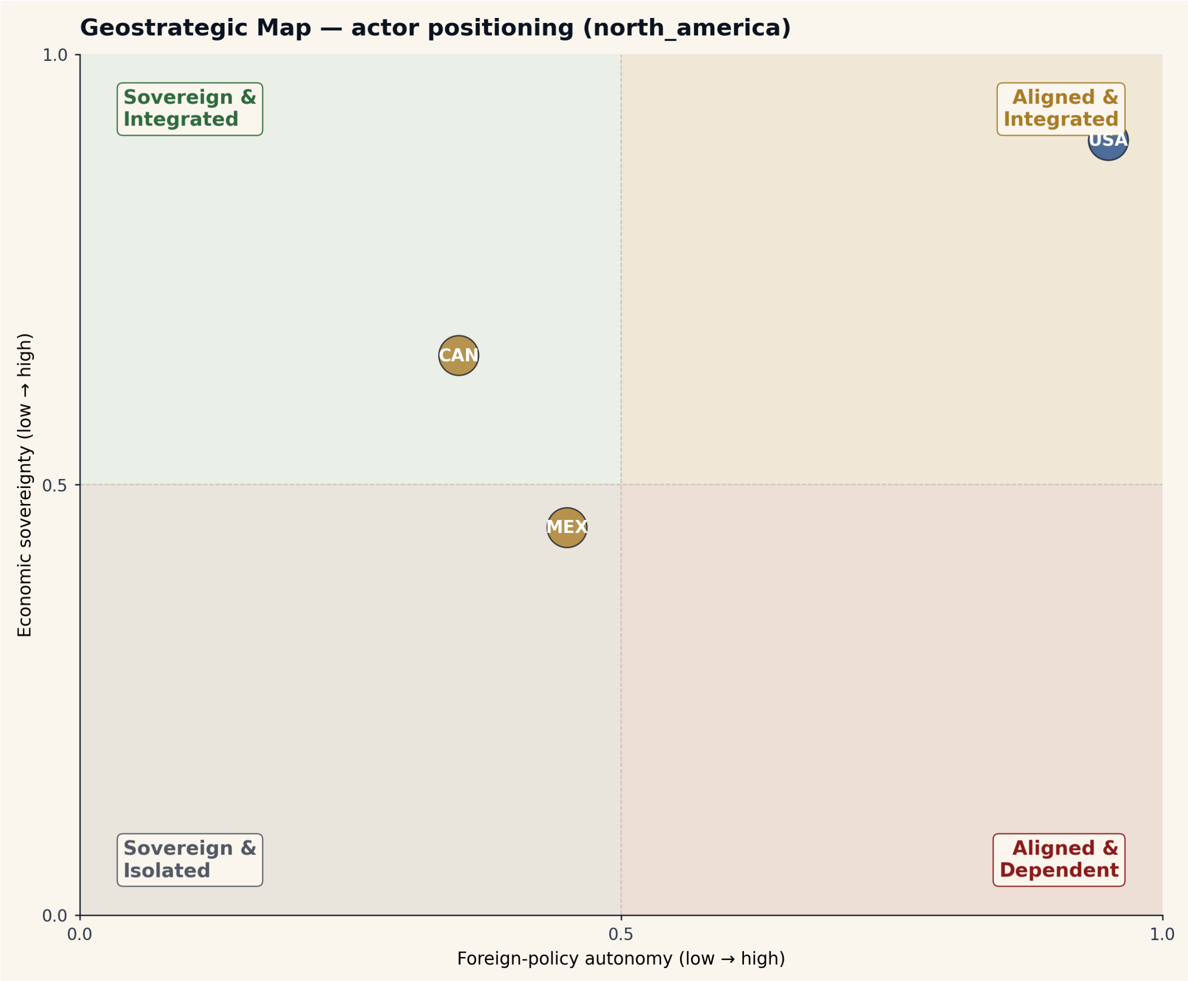


Exhibit 7.2 — Geostrategic Map. Foreign-policy autonomy × economic sovereignty.

08

Country / Actor Deep Dives

One-page profile per regional actor.

USA

United States of America

Capital Washington DC
Pop 339M (2025)
GDP $28.80T (2025)
Mil-spend 3.4% GDP

Dominant uncertainties for the M-horizon are: (a) whether the 14-point Iran framework holds past the Apr-2026 ceasefire or collapses back into a wider Hormuz war, (b) whether the post-Powell Fed under Trump-aligned leadership delivers the rate cuts the administration wants without unanchoring inflation expectations or triggering a dollar-confidence shock, and (c) whether the May-2026 Trump-Xi Beijing summit produces durable guardrails or merely a tactical pause before a Taiwan coercion cycle aligned to the 2027 PLA readiness milestone. [uncited-judgement] A secondary uncertainty is midterm com

Core interests

1. Preserve global primacy and dollar-system centrality despite below-57% reserve share and CIPS encroachment

2. Constrain Chinese semiconductor and AI capability while preserving Nvidia/AMD revenue and rare-earth access secured in the Oct-2025 Busan deal

3. Terminate the Iran war on US terms (no enrichment, Hormuz reopened) without a ground commitment and lock in Israeli/Gulf alignment

4. Force NATO to absorb the European theatre cost burden (5%-by-2035 Hague pledge) so US force structure can pivot to Indo-Pacific deterrence-by-denial

5. Engineer a 'frozen' Ukraine outcome via secondary-tariff pressure on Russia that preserves Republican mid-term narrative and avoids a defeat optic

Redlines

• PLA initiation of an amphibious or air assault on Taiwan, Pratas, or a Japanese SDF/US asset in the first island chain

• Iranian dash to >90% HEU stockpile sufficient for a weapon, or expulsion of IAEA inspectors post-ceasefire

• Russian use of a nuclear, chemical, or radiological weapon in Ukraine or against a NATO member

• DPRK ICBM test demonstrating reliable re-entry with a miniaturised warhead, or transfer of fissile material

• Direct strike on US homeland, a US carrier strike group, or US forces in Gulf/Indo-Pacific causing mass casualties

Key drivers

• Post-OBBBA fiscal trajectory: $2.0-2.1T FY26 deficit and a debt ceiling at $41.1T that defers but does not eliminate bond-market discipline

• Fed transition: Powell exits chair seat May-15-2026 while remaining on board; successor (Warsh contender) will determine cut path from 3.50-3.75% range

• Trump-Xi Beijing summit (May-14-2026) and the Greer 'Board of Trade' construct as the new operating system for US-China managed competition

• Saudi-Pakistan Strategic Mutual Defence Agreement (Sep-17-2025) and Pakistani fighter deployment to Saudi Arabia (Apr-2026) shifting Gulf hedging behaviour

Near-term observable signals

Signal	Threshold
Fed funds target range	Cut below 3.25% before end-2026 signals dovish p
Iran 14-point framework signature	Formal signing or collapse by Aug-31-2026; colla
Russia-Ukraine ceasefire durability	3-day ceasefire announced May-9-2026 either exte
PLA Taiwan exercise tempo	>2 large-scale joint blockade-pattern exercis
Semiconductor export-license throughput	BIS approval of >50 H200/MI325X licenses to C
US fiscal deficit print	FY26 deficit exceeding $2.3T (vs Treasury $2.1T

CAN

Canada

Capital Ottawa
Pop 40M (2025)
GDP $2.21T (2025)
Mil-spend 1.4% GDP

The dominant uncertainty is Washington's tariff trajectory: whether the July-2026 USMCA review produces a managed renewal or escalates into broad-spectrum tariffs that force Canada into a structural diversification it cannot complete inside the M horizon (75% of exports still go south). Secondary uncertainty is Alberta-federal cohesion: pipeline-MOU execution, the equalisation court case, and an Alberta sovereignty referendum question all break the same direction if Carney loses the fiscal argument. Tertiary uncertainty is whether Russian Arctic activity remains baseline or shifts to forward s

Core interests

1. Preserve USMCA/CUSMA market access and avert a hard tariff wall; secure a tolerable July-2026 review outcome that protects auto, steel, aluminum, dairy supply management, and digital-services sovereignty [source: Globe and Mail, 'Carney rejects notion that U.S. dictates the terms', https://www.theglobeandmail.com/politics/article-usmca-trade-talks-trump-conditions/, retrieved 2026-05-10]

2. Defend NORAD continuity and Arctic sovereignty: keep A-OTHR Stage-1 (Kirkfield/Clearview) on track for 2029, fund the C$38.6B/20yr NORAD modernisation envelope and the C$35B northern-FOL build-out [source: Canada.ca DND, 'NORAD modernization project timelines', https://www.canada.ca/en/department-national-defence/services/operations/allies-partners/norad/norad-modernization-project-timelines.html, retrieved 2026-05-10; CBC, 'Defence experts warn Canada lags', retrieved 2026-05-10]

3. Diversify trade away from US dependence (75% export share) via EU SAFE accession, Canada-Nordic summit deliverables, CPTPP deepening, UK Defence-Security-Resilience Bank, and a managed China detente (canola/seafood/EV deal of 16-Jan-2026) [source: PM.gc.ca, 'Carney strengthens trade and security partnerships with European nations', 2026-05-04; Al Jazeera, 'Canada, China strike trade deals to slash tariffs', 2026-01-16, retrieved 2026-05-10]

4. Operationalise the Critical Minerals Sovereign Fund (C$2B) + First-and-Last-Mile Fund (C$1.5B) to lock in lithium/nickel/graphite/cobalt/copper/REE supply chains as a transatlantic and Indo-Pacific lever [source: National Observer, 'Canada to launch $2B critical minerals sovereign fund', 2026-03-04; IEA, 'Canada's Critical Minerals Strategy', retrieved 2026-05-10]

5. Hit NATO 2% in FY2025-26 and chart the path to the 3.5%/5% commitment by 2035 without fracturing federal-provincial fiscal politics [source: CBC, 'Canada clears NATO's 2% bar', retrieved 2026-05-10; Canada.ca DND, 'Canada achieves the 2% of GDP defence spending benchmark', 2026-03, retrieved 2026-05-10]

Redlines

• US unilateral abrogation or de-facto suspension of CUSMA/USMCA, or imposition of a generalised 25%+ tariff wall on Canadian-origin goods beyond the existing sectoral steel/aluminum/auto carve-outs

• Any US move to expel Canada from Five Eyes or to formally downgrade NORAD command integration (loss of binational command authority)

• Russian forward-deployment of strategic strike assets (Tu-160 dispersed basing, Yasen-M routine NW-Atlantic patrols) coupled with sustained ADIZ probes that exceed 2014-2024 baseline by 2x

• PRC kinetic action against Taiwan or a DPRK ICBM/SLBM test that crosses Japanese territory and triggers Article-V-adjacent obligations

• Loss of either the Alberta-BC pipeline MOU pathway OR the C$2B Critical Minerals Sovereign Fund through court injunction, First Nations veto cascade, or Quebec/BC blockade

Key drivers

• Trump-administration coercive trade strategy + USMCA July-2026 review architecture (Krugman: small-open-economy is price-taker on tariff terms; Ikenberry: Canada's strategic interest is to bind the US into rules-based residue of the LIO)

• NORAD modernisation tempo and Arctic threat environment (Russian long-range aviation, PRC dual-use Arctic science presence, hypersonic glide vehicles)

• Critical-minerals supply-chain race (US IRA/CHIPS-successor + EU CRMA + PRC export controls on Ga/Ge/Sb create rents for Canadian deposits)

• Domestic political economy: federal-provincial fiscal stress (Alberta C$9B+ deficit, Quebec C$9B deficit), pipeline-politics realignment under Carney, and the Alberta-Next sovereignty signal

Near-term observable signals

Signal	Threshold
USMCA/CUSMA review concludes with at most narrow auto/steel concessions and without dair	Joint communique on or before 2026-09-30 with no
A-OTHR Stage-1 ground-breaking at Kirkfield/Clearview and contract execution by Aecon-Po	Construction start before 2026-12-31 and Stage-1
Defence spending trajectory beyond the 2% milestone	Federal budget tabled by 2026-06 commits >= 2
Critical Minerals Sovereign Fund operationalisation	C$2B fund launched with first equity/loan-guaran
Indo-Pacific frigate cadence	At least three Halifax-class deployments (HORIZO
Canada-China trade thaw durability	Canola seed effective duty stays <= 15% and c

MEX

United Mexican States

Capital Mexico City
Pop 130M (2025)
GDP $1.85T (2025)
Mil-spend 0.6% GDP

The dominant uncertainty is the political character of the USMCA outcome: a Trump administration willing to use tariff threats as a permanent bargaining instrument can extract concessions without formally terminating the agreement, but the line between 'painful extension' and 'sunset countdown begins' is determined by U.S. domestic politics that Mexico cannot directly shape. A second uncertainty is whether the post-El-Mencho criminal landscape fragments into elevated violence (eroding Sheinbaum's central security claim) or consolidates under successor leadership; either outcome interacts unpre

Core interests

1. Preserve USMCA / North American trade integration: extension or controlled revision by the July 1, 2026 statutory decision date is the single most important macro outcome for Mexico, as 80%+ of exports go to the U.S. and manufacturing exports to the U.S. reached $535B in 2025 [source: Brookings USMCA Forward 2026; Wilson Center 2026; Global Trade Magazine 2026].

2. Manage Trump-era tariff and sovereignty pressure (migration + fentanyl) without ceding sovereignty: the IEEPA tariff regime imposed 25% on Mexican imports March 2025–February 2026 before the U.S. Supreme Court ruled IEEPA cannot be used to impose tariffs, but Section 232 / Section 301 tools and FTO-designation pretext for unilateral kinetic action remain on the table [source: CRS R48549 2026; Migration Policy Institute 2025; Americas Quarterly 2026].

3. Sustain the nearshoring FDI pipeline: record ~$41B FDI in 2025 (manufacturing share 36%, transport equipment ~half of manufacturing) and Kearney FDI Confidence Index jump from 25 to 19 in 2026 are the foundation of Sheinbaum's growth story, and rules-of-origin tightening is both threat (compliance cost) and opportunity (Chinese-content displacement) [source: American Industries Group / Mexico FDI 2025; Kearney 2026; FreightWaves 2026].

4. Contain cartel violence and demonstrate measurable security gains to keep U.S. military intervention off the table: Sheinbaum's 'nearly 50% reduction in homicides' messaging and the February 22, 2026 El Mencho operation (with U.S. intelligence support) are the model of cooperation she wants institutionalized [source: Vision of Humanity 2026; Borderland Beat May 2026; UPI May 7, 2026].

5. Stabilize Pemex finances without surrendering the energy-sovereignty narrative: 2025 debt fell to $84.5B (11-year low), 2026 budget allocates $14.1B for Pemex debt service, $425B-peso (≈$23B) investment plan announced, but production target of 1.8 mbpd remains unmet and refining losses persist [source: Bloomberg Feb 4, 2026; Mexico Business News 2026; Energy Analytics Institute 2026].

Redlines

• Unilateral U.S. military strike or armed-drone action against cartel targets inside Mexican territory without consent: Sheinbaum has publicly ruled this out repeatedly (May 7, 2026 mañanera), and a violation would force her to invoke nationalist mobilization and freeze USMCA cooperation [source: UPI May 7, 2026; CBC News 2026].

• Collapse of USMCA via U.S. invocation of termination (the 10-year sunset countdown beginning July 1, 2026) rather than extension or revision: would trigger a ~3-6% GDP shock through manufacturing relocation, peso depreciation past 22/USD, and political crisis [source: Brookings USMCA Forward 2026; CSIS USMCA Review Six Scenarios 2026; uncited-judgement on shock magnitude].

• Across-the-board IEEPA-successor tariffs >15% on Mexican exports for sustained period (>90 days) tied to migration/fentanyl rather than trade: would breach the post-Feb 2026 Supreme Court IEEPA ruling and force Mexican retaliatory tariffs that were threatened but never implemented in 2025 [source: CRS R48549 2026; Texas Tribune 2025; Conversation 2025].

• Mass-deportation surge exceeding ~500,000 returnees in 6 months overwhelming Mexico's reception capacity: Mexico absorbed ~69,000 Mexican repatriations and ~6,500 third-country migrants Jan-June 2025, an order-of-magnitude lower than crisis scenarios [source: WOLA U.S.-Mexico Border Update April 2026].

• U.S. federal indictment naming sitting Mexican federal officials (cabinet/governor level) for cartel collusion: the May 2026 indictments of Mexican politicians already strained Sheinbaum, and escalation to cabinet level would force a sovereignty stance that breaks bilateral working channels [source: KJZZ Fronteras May 8, 2026].

Key drivers

• USMCA review trajectory (extension vs revision vs sunset) — the binary that determines Mexico's macro outcome through end-2026 [source: Brookings USMCA Forward 2026]

• Trump-administration leverage architecture (tariffs + FTO-designation + migration linkage) — Mexico operates inside a coercive bargaining set where tariff threats are the universal solvent [source: Migration Policy Institute 2025; CRS R48549 2026]

• Nearshoring / China-decoupling structural tailwind — Krugman-style new-economic-geography reinforces Mexico's locational advantage as supply chains shorten [source: American Industries Group FDI 2025; Kearney 2026]

• MORENA institutional concentration — Acemoglu-Robinson 'narrow corridor' problem: the judicial reform and electoral-reform attempts move Mexico toward extractive-institution territory, which threatens long-run FDI durability even as it consolidates short-term policy execution [source: CSIS Judicial Reform 2025; Foreign Policy May 2025; Wilson Center Judicial Reform 2025]

Near-term observable signals

Signal	Threshold
USMCA July 1, 2026 decision: clean 16-year extension, narrow revision, or sunset-countdo	Joint communiqué before July 1, 2026 confirming
Sheinbaum approval rating crossing 60% downside threshold	Below 60% sustained for two consecutive monthly
Peso depreciation past 19.50 / USD	USDMXN > 19.50 for ten consecutive trading se
U.S. tariff escalation on Mexico beyond IEEPA-replacement	New across-the-board tariffs >10% on Mexican
U.S. kinetic action inside Mexican territory against FTO-designated cartels	Any confirmed U.S. military strike, drone strike
FDI annual run-rate collapse below $30B	Quarterly FDI annualizing below $30B for two con

09

Theme Cross-Cuts

Ten active themes — indicators, key triggers, and near-term outlook.

T01 — Over the M-horizon (6-24 months, base date 2026-05-10), US-C

Near-term outlook. Over the M-horizon (6-24 months, base date 2026-05-10), US-China systemic competition is structurally entrenched but tactically modulated by the Geneva-Korea tariff truce framework. Mearsheimer's offensive-realism prior and Allison's Thucydides-trap logic both predict that the underlying balance-of-power trajectory continues to dominate any cyclical de-escalation: PLA monthly ADIZ activity remains in the 300-500 sortie range with episodic 600+ exercise spikes; BIS Entity List growth continues at ~80-100 PRC adds/year as the 'small yard' enlarges into legacy chips, biotech and quantum; and the COINS Act sectoral expansion in 2026-27 progressively constrains US capital flows to PRC tech. The bilateral trade YoY arithmetic recovers toward zero in months 6-12 (off the depressed 2025 base) but re-decouples in months 18-24 as Section 301 statutory four-year reviews bind and any post-2027-anniversary PLA exercise risk premium repriotises supply chains. From a Tianxia / Yan-Xuetong vantage point, Beijing's near-term strategy is to manage tactical climbdown while preserving long-game industrial-policy buffers; from a Krugman geo-economic lens, both sides are paying meaningful welfare costs to acquire bargaining positions. The single highest-impact negative-tail trigger remains a Taiwan-strait declared quarantine (TR7), low-probability but binary; the single highest-impact positive-tail trigger is an S006/S010-style leader-level communique (TR8) codifying both tariff and export-control de-escalation rails, which would flatten three of the six indicators within one quarter.

Trigger	Threshold
Average US effective tariff on Chinese imports re-escalates above 50% (sustained 30d)	effective_rate >= 50.0% for >= 30 consecutive trad
PLA ADIZ 30d sortie count exceeds 600	monthly_sorties >= 600
BIS Entity List adds >= 50 PRC entities in any single tranche	single_action_PRC_adds >= 50
US bilateral goods trade with China declines >35% YoY over a single rolling 12-month windo	YoY <= -35.0%
Presidential CFIUS divestiture order against a PRC investor on critical infrastructure or	any new EO-level forced divestiture >= 1 within ho

T02 — The composite EM debt-cascade headline (sovereign CDS 5y bp,

Near-term outlook. The composite EM debt-cascade headline (sovereign CDS 5y bp, weighted across 12 constituents) is currently in a moderate-stress regime ~480 bp, materially below the 2022-23 peak but well above pre-COVID norms; underneath this aggregate, the dispersion is large — Turkey, Ecuador, Argentina, Pakistan, Egypt, Ghana, Zambia, and Sri Lanka have all benefited from IMF programmes and have improving CDS trajectories, while Tunisia, Lebanon, and (more contingently) Nigeria and Kenya carry idiosyncratic stress. The most probable 6-24 month trajectory is sideways with a widening tail: composite CDS drifts 480-540 bp baseline but stress paths (Brent shock, Indo-Pak escalation, biosecurity event, or fresh climate-driven shock to a vulnerable importer) push the high-tail to 900+ bp by month 24. The single most binding mechanism is the Vreeland IMF-political-economy channel: 8 of 12 constituents currently depend on active Fund programmes for market access, and the calendar of programme reviews + the end of the Zambia ECF (Jan 2026) and approaching ends of others creates concentrated review-risk windows. The Eichengreen reserves-adequacy frontier is breached or close-to-breached for Tunisia (104 days, declining post-Jul-2026 Eurobond) and Lebanon (depleted), and is vulnerable in Pakistan (3.6 months) and Argentina (usable reserves only ~USD 10 bn). Diamond-Dybvig fragility is highest at the rollover-concentration cluster (EGY USD 26-30 bn, ARG > USD 20 bn, Turkey > USD 200 bn bank+sovereign), where confidence shocks can rapidly transit to runs. The defining 24-month question is whether the post-2023 EM upgrade cycle (Ghana, Zambia, Ecuador, Sri Lanka all post-restructuring; S&P took positive actions in 2026) is reversed by the geopolitical risk channel S&P flagged in March 2026 — our base case (~55% probability) is partial reversal concentrated in 1-3 names rather than a synchronised cascade.

Trigger	Threshold
Tunisia EUR 750 mn final Eurobond payment July 2026 — if reserves below 3 months imports a	reserves_months_imports < 3.0 OR FX reserves < USD
Pakistan IMF EFF programme review failure or delay — would crystallise USD-funding shortfa	any review miss; PKR depreciation > 10% in 30 days
Argentina FX-band breach with reserves drawdown — Milei monetary scheme launched Jan 2 202	BCRA gross reserves drop > USD 5 bn in single quar
Oil price spike from Middle East escalation — propagates to EGY, PAK, TUN, LKA, KEN curren	Brent > USD 100/bbl sustained > 3 months
S&P/Moody's/Fitch downgrade cycle restart — S&P warned March 2026 that Middle East war ris	3+ EM sovereign downgrades in a single quarter fro

T03 — Over the M horizon (6-24 months), the semiconductor supply c

Near-term outlook. Over the M horizon (6-24 months), the semiconductor supply chain remains the most concentrated and most politicised strategic-industrial system in the global economy: Taiwan retains ~90% of sub-5nm foundry revenue, while China's indigenisation, costly under any Krugman cluster-economics frame, is being subsidised through state capex (SMIC FY2025 $8.1bn, Hua Hong, CXMT) and legitimated through a Tianxia/sovereignty narrative that frames BIS/NL/JP controls as illegitimate hierarchical coercion. Expect HBM3e contract prices to rise ~20% through mid-2026 before HBM4 mix-dilution softens the index in 2H26-2027; ASML's China revenue share to compress to ~20% in 2026 from 33% in 2025 as Dutch national authorisation expansion bites; and BIS to add at least one further major tranche of PRC entities tied to HBM, EDA, or advanced packaging. The Taiwan-strait status indicator will deteriorate gradually — PLA blockade-pattern normalisation inside the contiguous zone is the dominant offensive-realist signal — but kinetic conflict over the M horizon remains low-probability (modal: amber-elevated, not crisis). The dominant tail risk is the MOFCOM rare-earth regime reactivating after its November 2026 suspension expiry combined with BIS HBM-controls, producing a reciprocal critical-minerals/critical-tools shock that bifurcates the global AI hardware supply curve. Watch for tool-in timing at TSMC Arizona Fab 21 Phase 2, Samsung 2nm Texas customer wins, SMIC 5nm yield disclosure, and any return of PLA exercises to inside-12nm presence.

Trigger	Threshold
PLA blockade-pattern exercise crosses Taiwan's 12nm contiguous zone or holds inside-contig	≥1 sustained intrusion event (current baseline: ep
BIS adds HBM3e/HBM4 to controlled-items list with extraterritorial Foreign Direct Product	Single Federal Register addition citing HBM by nam
MOFCOM lifts Nov 2025 suspension of rare-earth/gallium/germanium export-control regime	Reactivation of Notice 2025/61 before Nov 10, 2026
SMIC achieves credible 5nm volume yield (>50%) for Huawei Kirin/Ascend	Independent reverse-engineering (TechInsights) of
TSMC Arizona Fab 21 Phase 2 tool-in completes ahead of plan and N3 yield parity with TWN a	Tool-in confirmed 3Q26; pilot N3 wafers >70% yield

T04 — The 6-24 month window is dominated by a Hormuz-closure risk

Near-term outlook. The 6-24 month window is dominated by a Hormuz-closure risk premium that has lifted Brent to ~$101/bbl on 8-May-2026 (down from a $117/bbl April peak after the 28-Feb-2026 US-Israel war on Iran and Khamenei assassination triggered Iran's Hormuz closure), with EIA STEO Apr-2026 projecting a Q2-2026 Brent peak near $115/bbl easing to <$90/bbl by Q4-2026 conditional on reopening - we widen the band given the ~191-vessel April 2026 traffic floor. The UAE OPEC exit effective 1-May-2026 collapses Layer-2 voluntary-cut cohesion (1.6 Mb/d of UAE spare capacity now unconstrained), implying OPEC+ compliance falls from ~88% today toward ~70% by end-2027 and an over-supplied 2027 market unless Saudi defends fiscal breakeven (~$96/bbl IMF, up to $108/bbl PIF-augmented) by deeper cuts that risk further defections (Mearsheimer balancing). On the minerals side, the China REE index sits at a near-two-year high (288.7 on 10-Feb-2026), dysprosium +105% Q1-2026 to $930.70/kg, and MoFCOM's heavy-REE license suspension through 10-Nov-2026 sets up a binary trigger: reinstated controls plus the 0.1%/50% extraterritorial rule would spike samarium and dysprosium and validate the USGS OFR 2025-1047 finding that samarium disruption alone risks $4.5bn US GDP. Lithium-carbonate has rebounded to ~$24,150/t on Chinese restocking and Yichun supply curtailment, but Codelco-SQM's Salar de Atacama JV (Nova Andino Litio, Dec-2025) and Indonesian RKAB nickel cuts (330->250 Mt) tilt the broader battery-metal complex toward a structural deficit in H2-2026 even as BNEF projects pack prices fall to $105/kWh. The structural sleeper is AI data-centre demand: IEA Electricity 2026 puts global DC at 485 TWh in 2025 rising toward 950 TWh by 2030, with US +240 TWh (130%) and China +175 TWh (170%) by 2030; this underwrites a Henry Hub trajectory rising from $2.76/MMBtu today toward $4.50-4.80/MMBtu by month-24 as LNG-export and gas-peaker demand stack. The dominant tail risks are (i) Hormuz remaining closed past August 2026, (ii) Beijing reactivating REE licensing on 10-Nov-2026, and (iii) a second OPEC defection (KAZ or IRQ) - all three are detectable from public sources (Kpler vessel transits, MoFCOM gazette, OPEC MOMR) and should be the priority monitoring nodes.

Trigger	Threshold
Strait of Hormuz remains closed >90 days from May-2026 baseline (i.e. through August 2026)	Brent > $130/bbl sustained 30 days; Kpler-tracked
MoFCOM reinstates heavy-REE export licensing on 10-Nov-2026 review date (after current sus	REE oxide index > 340; samarium spot > $500/kg; li
UAE OPEC exit cascades: second member (KAZ or IRQ) follows by Q4-2026; effective Layer-2 v	OPEC+ compliance < 70%; UAE liftings > 4.0 Mb/d su
DRC tightens cobalt quotas further or cuts 2027 allocation below 90kt; CMOC over-stockpile	Cobalt spot > $40k/t; Glencore-CMOC public dispute
AI hyperscaler capex underwriting a >900 TWh global DC trajectory by 2030 forces 50+ GW of	DC capex 2026 > $700bn; new gas-fired build > 30 G

T05 — Over the M horizon (6-24 months from May-2026), the central

Near-term outlook. Over the M horizon (6-24 months from May-2026), the central expectation is that the global internal-displacement stock rises from 83.4m (IDMC GRID 2025) toward roughly 96m by mid-2028, a 16% increase whose mean trajectory is driven about 60% by conflict (Sudan, DRC, Myanmar, Sahel) and 40% by disaster + slow-onset climate forcing. The constituent country with the highest probability of dominating headlines remains Sudan (9.6m IDPs, 4.3m cross-border per DTM Sep-2025) - it has displaced Syria as the world's largest forced-displacement situation and risks a tipping point if Al-Fasher falls and RSF consolidates Darfur, plausibly pushing the IDP stock above 10m and outflows beyond 5m. Second-tier accelerators are Sahel food insecurity (FAO West Africa projection 52.8m IPC-3+ in the 2026 lean season, vs. 41.8m in 2025), the Philippines/Vietnam typhoon corridor (post-Kalmaegi/Fung-wong baseline of ~2m displaced in Q4-2025), and Bangladesh's monsoon flooding (>700k/yr decadal mean, with 2025 already breaching that within the first floods of the season). Reasoning from Acemoglu-Robinson, the proximate driver in nearly every case is not the climate hazard per se but the extractive-institutional inability to absorb it (Sudan's centralised rentier state, Iraq's neopatrimonial water management, Egypt's hydro-hegemonic vulnerability to GERD, Bangladesh's coastal-poor governance gaps); from a Pan-African lens this is the post-colonial state-formation failure becoming a climate-multiplier. From Krugman economic geography, expect continued labour reallocation toward Dhaka/Lagos/Cairo/Mexico-City mega-cities that simultaneously concentrate exposure to heat-island and water-stress hazards - a dis-equilibrium that resolves only via either adaptation finance scale-up or destabilising outmigration. From Hubbert depletion logic, the Tigris-Euphrates 25-50% flow loss already realised (Carnegie 2024) and Iraq's reservoir collapse to 10 bcm (lowest since 1933, Chatham House 2025) are not cyclical - they are stepwise descents on a non-renewable hydrological budget, with no upside surprise plausible in the M-window. Coupling intensity to T02 (EM-debt) and T08 (Middle-East) is highest; under polycrisis scenario S005 (Pr=2.6%) the headline 24-month fan-chart upper bound (104.9m) becomes the central case rather than a tail, while S010 climate-cooperation-revival (Pr=1.7%) is the only meaningful downward forcing identified.

Trigger	Threshold
Sudan IDP stock breaches 10 million OR cross-border refugee outflow exceeds 5 million, sig	10,000,000 IDPs OR 5,000,000 cross-border (current
FAO Food Price Index returns above 140 for two consecutive months, breaking 2025-2026 plat	FFPI >= 140.0 (April-2026 = 130.7)

South Asia wet-bulb event exceeds 33C sustained >6 hours in populated zone (Dhaka, Karachi	Tw >= 33C, t >= 6h, population-weighted >5M expose
Iraq water reserves fall below 8 bcm (vs 10 bcm 2025; lowest-since-1933 baseline)	reservoir storage < 8 billion cubic meters
West Africa & Sahel IPC-3+ caseload exceeds 55 million in lean-season 2026 (current projec	55,000,000 acute food insecure (IPC 3+/CH 3+)

T06 — Over M-horizon (May-2026 to May-2028), the AI capability fro

Near-term outlook. Over M-horizon (May-2026 to May-2028), the AI capability frontier accelerates faster than governance: METR 50%-time-horizon doubles roughly every 4-5 months from ~14.5h (Claude Opus 4.6) toward week-scale autonomous task completion by M18-M24, and frontier training runs cross 1e27 FLOP at fan-mean before M9. The structural driver is Romer-endogenous compute investment (Stargate $500B/10GW, Mistral 1.4GW France, HUMAIN 1.9GW KSA, Stargate-UAE 5GW, IndiaAI 8 exaflops) racing ahead of Anthropic RSP-v3.0 ASL-3/ASL-4 safeguards and FLI Index existential-safety 'D' grades. Mearsheimer power-balance logic plus Ikenberry hegemony-preservation logic both predict tightening US export controls despite Trump's Diffusion-Rule rescission and H200 relaxation: BIS Entity List adds will continue at ~10-15/quarter and a second large smuggling network (>$500M) is more-likely-than-not before M12 given the Operation Gatekeeper baseline and persistent ~30-50% Chinese demand-elasticity for top-stack chips. MoFCOM's suspended-but-loaded extraterritorial rare-earth/FDPR retaliation is the single most consequential downside trigger - if reactivated post-suspension (Oct-2026) it depresses the FLOPS fan toward its low edge and forces Stargate site-selection toward US-aligned grids. Sovereign-AI initiative count rises monotonically toward ~25-29 by M24 as the Tianxia-tinged DeepSeek-Huawei two-loop strategy plus ARE/KSA/IND/KOR/FRA hedging structurally fragment what was a US-monopoly stack in 2024 - this is not a 'risks rising' platitude but a measurable phase change visible in the sovereign_ai_initiative_count series and the METR cross-lab dispersion. Detection: monitor (a) quarterly Epoch frontier-FLOPS releases, (b) METR Time Horizon 1.1 monthly updates, (c) BIS Federal Register rule-rounds, (d) DOJ-SDTX-style smuggling unsealing dockets, (e) MoFCOM announcement page for the Oct-2026 suspension expiry.

Trigger	Threshold
METR 50%-time horizon crosses 24 hours (1440 min) for any frontier model	1440 minutes on RE-Bench/HCAST/SWAA composite, 50%
Frontier training run crosses 1e27 FLOP threshold publicly verified	1e27 FLOP single training run, Epoch-confirmed
Second major AI chip smuggling network seized with >$500M value	>$500M USD seizure value, single network
China retaliatory MoFCOM extraterritorial rare-earth/AI control activates extraterritorial	MoFCOM extraterritorial 50%-rule on rare earth/AI-
Sovereign-AI initiative count crosses 20 distinct >$1B programs	20 sovereign programs

T07 — Over the M horizon (6-24 months), the new-SDN-listings-30d h

Near-term outlook. Over the M horizon (6-24 months), the new-SDN-listings-30d headline rises modestly from ~165/month to ~205/month under the central path, driven less by Russia (where the architecture is mature and additions are slowing) and more by the Iran cluster (~1,000 Iran-related persons/vessels designated since Feb 2025, ~83/month run-rate) plus China-linked secondary actions (Hengli refinery, ~40 Iran shadow-fleet firms, May 2026). The chokepoint logic of Farrell-Newman remains intact - 48% of global SWIFT payments and the overwhelming share of correspondent USD clearing still pass through U.S. jurisdiction - but the panopticon side is eroding as CIPS rises from $24.5T (2024) to $26.4T (2025) annualized throughput and Beijing readies a mixed-settlement structure for 2026. The binding constraint is enforcement capacity, not legal authority: 111 designated shadow tankers were still loading Russian crude in early 2026, and 68% of Russian crude moved on G7+ sanctioned tankers. Expect three regime-shift triggers to watch: (i) any designation of a top-10 Chinese commercial bank (would test the secondary-sanctions threat and is the cleanest stress-test of Eichengreen network-incumbency), (ii) a sustained breach of 5% RMB share in SWIFT global payments combined with > 1.5T RMB CIPS daily peaks, and (iii) BIS Entity List flow > 500 adds in a 12-month window (the Lutnick escalation pledge). Downside paths (S006, S007, S010) cluster around Iran-deal revival or US-China condominium and would compress the indicator by 30-50% within two quarters. Country exposure peaks for IRN (0.99), RUS (0.98), PRK

(0.95), USA (0.92, as the system operator absorbing reputational and de-dollarization risk), and CHN (0.78); third-country hubs TUR (0.74) and ARE (0.71) face the steepest marginal enforcement risk if the Treasury moves decisively beyond designating individual evader networks toward systemic action against host financial systems.

Trigger	Threshold
Single month of new_sdn_listings_30d > 300 (Iran+Russia clusters firing simultaneously)	300
Designation of a top-10 Chinese commercial bank for facilitating Russia/Iran transactions	1
Shadow-fleet-designated tankers share of Russian seaborne crude exports > 60% (compliance-	0.6
RMB share of SWIFT global payments crosses 5% AND CIPS daily peak > 1.5T RMB (system-shift	0.05
OFAC civil penalties annualized > $500M (enforcement-tempo regime shift)	500000000

T08 — The M-horizon (May 2026 - May 2028) baseline for Middle East

Near-term outlook. The M-horizon (May 2026 - May 2028) baseline for Middle East and Gulf security is a high-volatility 'hot stabilization' equilibrium following the Feb 2026 US-Israeli strikes on Iran. Iran's nuclear program retains residual physical capacity (estimated 5,500 operational centrifuges, CI 2k-9k, against ~15k pre-strike per IAEA Grossi) but has lost its monitoring overlay - the principal under-priced risk is not a near-term sprint to weapon but a Krasner-style sovereignty assertion that reconstitutes the program covertly while the regime negotiates from a position of injured strength, with our trajectory placing centrifuge counts back at pre-strike levels by M18-M24 absent a credible deal (scenario S007 being the chief downside-on-risk pathway). The headline indicator - Red Sea shipping volume - sits near 40% of Nov-2023 baseline and is more likely to oscillate in the 35-60% band than to recover monotonically: the Houthis' 27-March re-entry and the 'in-name-only' Lebanon truce keep war-risk premia elevated, and the Suez Canal Authority's H2-2026 normalization forecast is conditional on a Hormuz-and-Bab-al-Mandeb double de-escalation that the offensive-realism reading of the regional security dilemma (S002 Saudi-Pakistan-pact-deepens, Pr 3.9%) actively undermines. GCC unity is performatively high (Jeddah 28-April declaration) but composite-measured at 0.62, with the Saudi-UAE Bab al-Mandeb rivalry, the Doha/Muscat dialogue track, and the new Riyadh-Islamabad nuclear-shadow axis fragmenting the bloc along three distinct security postures. Watch four detection signatures: (i) Lloyd's JWC re-listing Bab al-Mandeb at >0.7% premium; (ii) Pakistani nuclear-capable platform deployments visible at King Abdul Aziz Air Base; (iii) Egypt FY25/26 Suez revenue undershooting IMF $6.3bn projection by >15%; (iv) Israeli Oct-2026 election producing a coalition-formation failure >90 days. The dominant cross-theme transmission is T04 (oil, coupling 0.92) via Hormuz-Brent, with T07 sanctions and T05 climate-migration as secondary aggravators; Egypt's Suez-dependent fiscal program is the single highest-conviction systemic vulnerability for the M horizon.

Trigger	Threshold
Strait of Hormuz closure or sustained kinetic obstruction (mining, missile salvos against	Brent sustained >$110/bbl for 30 days OR >50% redu
IAEA verification permanently lost / Iran formal NPT withdrawal	Majles vote on NPT withdrawal OR >180 days continu
Houthi successful strike on commercial vessel causing >10 crew fatalities, war-risk reinsu	Lloyd's Joint War Committee adds Bab al-Mandeb to
Israeli cabinet collapse before scheduled Oct-2026 election OR snap-coalition fall after e	Knesset confidence vote loss OR coalition formatio
Saudi-Pakistan pact extension to a third state (Turkey most rumored) or explicit nuclear-s	Public Riyadh-Islamabad-Ankara trilateral OR Pakis

T09 — Baseline (M-horizon, May 2026 - May 2028): the Taiwan Strait

Near-term outlook. Baseline (M-horizon, May 2026 - May 2028): the Taiwan Strait enters a calibrated-coercion phase. PLA ADIZ tempo has dropped ~46.5% YoY in Q1 2026 (~155-165 sorties/30d versus 2025 monthly mean ~270-320) tied to the Mar 31-Apr 2 Trump-Xi summit; this is a tactical pause inside a structural ramp, not a turning point - we expect reversion toward 250-320/30d by Q4 2026 and a 300-400/30d band by 2027 driven by (i) Lai-administration political cycle, (ii) PLA's reaffirmed 2027 'be ready' guidance per CMPR-2025, and (iii) Joint-Sword-style exercise pulses around any major US political dates. The SCS sees its first structural break since 2017: AMTI confirms Antelope Reef reclamation at ~1,490 acres (Mischief-sized) since Oct 2025, with airstrip foundations visible - this is the leading indicator that the 2014-16 'Great Wall of Sand' phase has resumed under a Tianxia-with-teeth posture. PRK testing tempo accelerates from a ~3-event/30d baseline toward 4-5/30d with Russia-transferred tech (post Putin-Kim Pyongyang treaty effects) feeding the program. Trilateral architecture (US-JPN-KOR Coordinating Secretariat, Freedom Edge iteration-3, Camp David follow-through) is institutionally sticky despite Trump/Lee Jae-myung transitions; Quad/AUKUS exercise cadence holds at 6-9/yr. Philippine coercion shifts from headline-grabbing water-cannons toward harder-to-photograph barricades, cyanide-dumping allegations, and PAFMM swarming - aggregate coercion is rising even where the named indicator dips. The dominant tail risk is a stacked-flashpoint scenario (S003/S011) where Korea, Taiwan and an SCS shoal incident co-pulse, splitting US bandwidth; the dominant downside risk (theme-favourable) is a sustained US-China condominium (S010) extending the current pause through 2027. Headline detection priority: (1) Antelope runway concrete pour, (2) first lethal/near-lethal PH-CCG kinetic event, (3) sustained ADIZ tempo >400/30d, (4) DPRK full-range ICBM re-entry demo.

Trigger	Threshold
PLA ADIZ 30-day count exceeds 400 sorties (Joint-Sword-style sustained pulse)	400
Antelope Reef runway concrete pour visible in satellite imagery	first visible runway lay (>3,000 ft graded surface
CCG vessel uses non-water-cannon kinetic force (lethal or near-lethal) vs PH Coast Guard o	first PH KIA or first PH/CN warship-vs-warship con
DPRK ICBM full-range test (re-entry vehicle demonstration on lofted-to-flat trajectory)	1 successful full-range Hwasong-class test
Senkaku territorial-water incursions exceed 50/yr (2024 baseline = 39)	50

T10 — Over horizon M (May 2026 - May 2028) the polycrisis index tr

Near-term outlook. Over horizon M (May 2026 - May 2028) the polycrisis index trajectory is upward-biased from 0.71 to a central 0.79 (CI 0.63-0.90) driven by three locked-in mechanisms and one wildcard. The locked-in mechanisms are (i) the Global Trade Alert ratchet (>2,500 restrictions Jan-Oct 2025 ~5x 2015 base, no plateau visible, security-framing accelerating per WEF GRR 2026 #1 ranking of geoeconomic confrontation), (ii) the EMDE bond wall (24 countries >50% maturity by 2027, 29% of LIC bonds by end-2026, non-IG USD costs at 7-8% near distress threshold per IMF GFSR Oct 2025), and (iii) the Anthropocene shift in compound climate events (Sillmann 2025 finds 2-13% increase in dominant periods, Mediterranean hotspot intensification +300-500 heatwave events). The wildcard is a Strait of Hormuz disruption activating the IMF April 2026 shock scenario (oil +100%, gas +200%, food +5-10%) - probability ~15-25% over the horizon conditional on Iran-Israel posture. Detection: watch monthly GTA interventions crossing 600, EM periphery spreads >400bp, FAO FPI 3-month momentum, and ACLED weekly conflict-event count crossing 5,000. Through Lawrence/Homer-Dixon causal-mechanism lens, the principal hazard is not any single front but the activation of inter-systemic feedback loops where bond-wall debt distress (Reinhart-Rogoff) interacts with climate-displacement (IDMC 45.8M disaster-displaced last year) and food-energy correlation (FAO +2.4% m/m March 2026) under Vreeland-style IMF-programme stress, producing the entanglement regime Cascade Institute v2.5 maps to its negative attractor basin. Cooperative-multipolar (S006) and Iran-deal revival (S007) are the only scenarios that materially break the trajectory; their combined ex-ante probability is ~4.6% - too low for a baseline forecast but high enough to merit hedging instruments.

Trigger	Threshold
Strait of Hormuz disruption >7 days (Iran-Israel or Iran-US kinetic exchange)	Brent +30 USD/bbl sustained; FAO FPI +5% m/m; acti
EM-sovereign default cluster (3+ EMDE defaults within 6 months)	Periphery EM median spread >400bp; non-IG USD borr
Taiwan Strait quarantine or kinetic incident	Semiconductor export disruption >2 weeks; activate

Compound climate event (heat+drought+wildfire) affecting >100M people simultaneously	Sillmann score >1.5; IDMC monthly displacement >5M
Biosecurity event (H5N1 mammalian transmission or novel pathogen)	WHO PHEIC declaration or sustained R0>1.5 with cas

10

Lens Panel

Five schools of thought; theoretical pluralism made explicit.

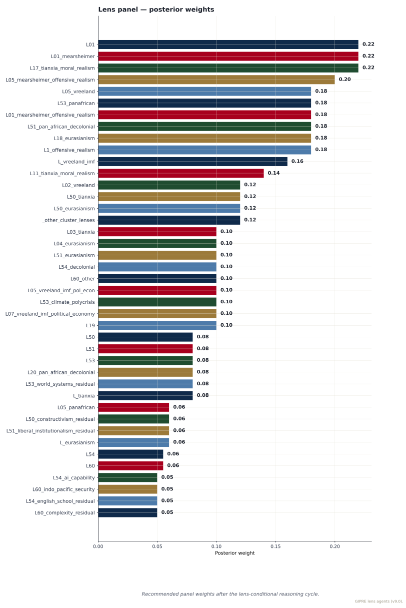


Exhibit 10.1 — Recommended posterior weights across the panel.

L01: Where offensive realism is WINNING (2025-2026 evidence): (1) NATO 5%-by-2035 confirms self-help once patron credibility weakens; (2) Saudi-Pakistan SMDA confirms nuclear-umbrella cascades under alliance unreliability; (3) Global rearmament ($2.9T, +14% Europe, +8.1% Asia in 2025) is canonical internal balancing; (4) Trump's transactional Article 5 ambiguity validates Mearsheimer's 30-year claim that alliances are not values-based; (5) Israel/US preventive war against Iran validates the 'preventi

L05: The Q3-2025 Brier of 0.18 (Doc 4 §9.4) is empirically HIGH for this lens, and I acknowledge it candidly. Three reasons. (1) The lens over-predicted programme collapses in 2025: I forecast Kenya, Sri Lanka, and Pakistan tranche disruptions on conditionality slippage, but the Fund granted waivers and continued disbursements precisely BECAUSE the geopolitical-alignment channel I theorise about was operating — my qualitative prediction was right, my probability calibration was wrong (waivers, not br

L17: CANDID FAILURES: (1) The lens predicted in 2022-2024 that China's Saudi-Iran mediation would seed a broader humane-authority equilibrium; the 2026 BRICS+ deadlock over Iran-UAE (failure to issue joint statement) is a direct empirical refutation — relational webs are thinner than the lens assumed. (2) The lens systematically under-predicts the durability of US alliance structures (AUKUS, Quad expansion through 2026); humane-authority talk has NOT translated into measurable defection of US treaty

L18: WORKING (2024-2026): the lens correctly anticipated (i) the Sino-Russian May-2025 summit binding-mechanisms shift from rhetoric to operational bloc-building, (ii) the SCO Tianjin formalisation with Iran/Belarus full membership and a 2035 strategy, (iii) the INSTC operationalisation (first Moscow-Tehran freight train Nov-2025), (iv) Power of Siberia 2 MoU after years of skepticism, and (v) the IMEC stalling out as an unfunded MoU-collection. The Mackinder-Spykman map is recognisably the 2026 map.

L19: L19 is empirically vindicated on the security-sovereignty axis: by May 2026 every prediction of post-colonial military exit (French Sahel/Senegal/Chad; US AB-201/Niger; ECOWAS dissolution by AES departure) has materialised on the timeline Mazrui (1986) sketched. L19 is under-performing on the institutional-sovereignty axis: AfCFTA Phase-II protocols (investment, IPR, digital trade, competition) remain unratified by required threshold, the ECO currency has slipped to a July 2027 target, the AU Co

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Decision Implications

Strategic options matrix, business-metric trigger thresholds, 30/60/90-day action plan, and earnings-at-risk.

Strategic options matrix

Option	S001 The Frozen Triangle (central case)	S006 The Cooperative Window (upside)	S004 The Bloc Recession (downside macro)	S005 The Climate Border / cartel-fragmentation downside	S021 The Dollar Wobble (Fed-credibility shock)
O1: Close USMCA narrow renewal by Q3 2026 with ROO tightening and Chinese-transhipment enforcement	{'option': 'O1', 'scenario': 'S001', 'score': '+++', 'note': 'Locks supply-chain integration; preserves $41B MX FDI run-rate; frees U.S. bandwidth for WESTPAC'}	{'option': 'O1', 'scenario': 'S006', 'score': '++', 'note': 'Renewal language widens toward managed competition if Trump-Xi guardrails hold'}	{'option': 'O1', 'scenario': 'S004', 'score': '+', 'note': 'Cushions but does not offset commodity/FX shock; renewal still the right base case'}	{'option': 'O1', 'scenario': 'S005', 'score': '0', 'note': 'Cooperation track partially survives but security-carve-out narrows under cartel-fragmentation stress'}	{'option': 'O1', 'scenario': 'S021', 'score': '+', 'note': 'Renewal narrative supports peso/CAD anchor but does not insulate against captured-Fed credibility shock'}
O2: Accept tariff-perimeter alignment with the U.S. and absorb dispensable concessions on dairy, digital, auto, steel	{'option': 'O2', 'scenario': 'S001', 'score': '++', 'note': 'Dispensable concessions are renewal currency; sequencing matters more than substance'}	{'option': 'O2', 'scenario': 'S006', 'score': '+', 'note': 'Optionality preserved but utility lower as U.S. coercion eases'}	{'option': 'O2', 'scenario': 'S004', 'score': '++', 'note': 'Tariff-perimeter alignment cushions sectoral re-pricing'}	{'option': 'O2', 'scenario': 'S005', 'score': '+', 'note': 'Aligns Mexico inside U.S. perimeter even as security stress rises'}	{'option': 'O2', 'scenario': 'S021', 'score': '0', 'note': 'Trade-policy aligned does not protect against monetary-credibility shock'}
O3: Execute middle-power diversification (Canada EU SAFE/Nordic-5/CPTPP; Mexico LATAM/EU/Asia) at maximum pace	{'option': 'O3', 'scenario': 'S001', 'score': '+', 'note': 'Builds long-dated option value; insufficient to substitute for U.S. market access'}	{'option': 'O3', 'scenario': 'S006', 'score': '++', 'note': 'Cooperative envelope rewards diversification by lowering political cost'}	{'option': 'O3', 'scenario': 'S004', 'score': '+++', 'note': 'Highest payoff: regionalised-blocs world rewards prior diversification investment'}	{'option': 'O3', 'scenario': 'S005', 'score': '+', 'note': 'Partial cushion via non-U.S. demand growth; mostly an exposure-reduction story'}	{'option': 'O3', 'scenario': 'S021', 'score': '++', 'note': 'Non-USD revenue and reserve diversification provide direct hedge against captured-Fed scenario'}

O4: Pre-stage macro contingency architecture (IMF FCL for Mexico, contingent Fed swap lines, Pemex hedge)	{'option': 'O4', 'scenario': 'S001', 'score': '+', 'note': 'Cheap insurance; small signalling cost'}	{'option': 'O4', 'scenario': 'S006', 'score': '0', 'note': 'Largely unused but free to carry as standby'}	{'option': 'O4', 'scenario': 'S004', 'score': '+++', 'note': 'Pemex hedge and FCL are the principal Mexican cushions in a commodity/FX-stress world'}	{'option': 'O4', 'scenario': 'S005', 'score': '++', 'note': 'Cartel-fragmentation cascade interacts with FX and fiscal channels'}	{'option': 'O4', 'scenario': 'S021', 'score': '+++', 'note': 'Contingent swap lines are the single highest-value Fed-shock cushion'}
O5: Institutionalise El Mencho cooperation model and joint cartel-disruption framework without crossing the kinetic-action redline	{'option': 'O5', 'scenario': 'S001', 'score': '++', 'note': 'Banks midterm political win for the administration; protects Mexican cooperation'}	{'option': 'O5', 'scenario': 'S006', 'score': '+', 'note': 'Less load-bearing if cooperative envelope holds'}	{'option': 'O5', 'scenario': 'S004', 'score': '+', 'note': 'Margin contribution by stabilising Mexican capital-flight risk'}	{'option': 'O5', 'scenario': 'S005', 'score': '+++', 'note': 'Critical: only path that contains cartel-fragmentation downside without crossing the redline'}	{'option': 'O5', 'scenario': 'S021', 'score': '0', 'note': 'Largely orthogonal to monetary-credibility shock'}

Table 11.1 — Strategic options × top scenarios.

Business-metric trigger thresholds

Scenario	Business metric	Trigger threshold	Action when breached
S001	USDMXN spot	Sustained above 20.00 for ten consecutive sessions	Activate peso tail-hedge book; pre-stage IMF FCL precautionary request for Mexico; convene USMCA crisis-respon
S001	U.S. effective tariff on Canadian-origin goods, tr	Above 12% for 30 days	Trigger auto/steel inventory pre-build and shift OEM tier-1 sourcing to ROO-compliant Mexican and U.S. plants
S005	Mexican monthly homicide count	Above 2,800 for two consecutive months	Activate cartel-risk insurance riders on trucking and maquiladora exposure; escalate U.S. State Department tra
S005	U.S. armed-personnel presence on Mexican soil	Any confirmed deployment, strike, or arrest action	Trigger Mexican capital-flight hedges; pause Mexico-side capex authorisations; convene bilateral crisis call
S021	DXY trade-weighted dollar index	Decline of 5% or more in 30 days with 10-year UST	Pre-position CAD and MXN tail hedges; rotate cash holdings into shorter-duration UST; activate Fed/Banxico/BoC
S014	Brent crude spot	Above $110/bbl sustained for 30 days	Trigger Pemex import-fuel hedge expansion; raise Canadian inflation pass-through reserve; re-price North Ameri
S012	Pemex credit rating	Any single-agency negative action after the 2025-2	Reduce Pemex paper holdings to indexed-weight; widen Mexican sovereign hedge book; pre-clear contingent fiscal
S004	Alberta sovereignty referendum certification	Question certified for 2026 ballot	Re-price Canadian provincial-bond positions; stress-test pipeline and CMSF deployment timelines; review Albert
S003	PLA exercise tempo around Taiwan	More than 2 major exercises per 6-month window or	Activate Asia-disruption playbook; shift OSAT and semiconductor packaging capex toward Mexican Pacific coast a

S006	USMCA joint communique	Not concluded before September 30, 2026	Move to bilateral contingency planning; defer cross-border M&A; pre-build dual-source supply chains for FY
S011	NORAD A-OTHR Stage-1 construction milestone	No ground-break by December 31, 2026	Re-price Canadian defence-industrial allocations; flag NATO 3.5%-by-2032 credibility risk; review Five Eyes-ad
S014	Iran 14-point framework signature	Not signed by August 31, 2026	Activate Hormuz-disruption oil-price playbook; raise Banxico hawkish-bias scenario weight; flex Canadian LNG-A
TR-NA-01	Federal action against state authorities outside i	Any confirmed federalisation of state National Gua	Stress-test U.S. municipal-bond holdings, particularly California, Illinois, New York; widen UST term-premium
TR-NA-05	Pemex Q3 amortisation coverage ratio	Below 1.1x cash plus committed lines versus maturi	Cut Pemex paper to underweight; pre-clear IMF FCL term-sheet activation; expand Mexican sovereign hedge book b
TR-NA-06	CISA emergency directive on critical-infrastructur	Any emergency directive issued on grid, pipeline,	Activate cyber-incident-response playbook; pre-stage operational resilience cells; convene cross-border critic

Table 11.2 — Trigger thresholds tied to client business metrics.

30 / 60 / 90-day action plan

Horizon	Action	Owner	KPI	Revisit
30d	Stand up trilateral USMCA renewal war-room (USTR / Global Affairs Canada / Secretaria de Economia) with weekly principals call	Heads of trade ministries; clien	Joint draft language on ROO Chinese-cont	Weekly until July 1, 2026 gate
30d	Pre-position CAD and MXN tail hedges sized to a 5-7% peso and 3-5% CAD move in a Fed-credibility shock	Group Treasurer; Head of FX	Hedge ratio at 60% of net non-USD revenu	Weekly through May 15 Fed transition and 30 days p
30d	Map Mexican exposure to cartel-fragmentation tripwires (trucking lanes, maquiladora belt, fentanyl-precursor enforcement zones)	CSO; Head of Supply Chain; Regio	Tripwire dashboard live with site-level	Monthly; weekly if homicides cross 2,800
30d	Stress-test U.S. municipal-bond holdings against a federal-state-action constitutional scenario, with special attention to California, Illin	Chief Investment Officer; Fixed-	Stress test report board-approved by Jun	Quarterly; immediate on TR-NA-01 trigger
60d	Execute dual-source ROO-compliant inventory pre-build across auto, electronics, and heavy-equipment lines through Q3 2026	Head of Supply Chain; COO	Inventory coverage at 1.4x normal run-ra	Bi-weekly to July 1; weekly thereafter
60d	Pre-clear Pemex hedging programme expansion and IMF FCL precautionary access with SHCP and IMF WHD	Pemex CFO; Mexican SHCP; IMF Wes	Pemex hedge coverage at 50% of 2026 prod	Monthly; immediate on Brent above $115/bbl
60d	Deploy Critical Minerals Sovereign Fund first tranche to a lithium or nickel project	Canadian ISED; Natural Resources	First disbursement announcement by July	Monthly until Q3 2026 close
60d	Institutionalise the El Mencho cooperation model into a written bilateral framework	U.S. DOJ/DEA; Mexican SEGOB and	Bilateral MOU signed by August 1, 2026 w	Monthly
60d	Stand up cyber critical-infrastructure cross-border coordination cell with CISA, Canadian Centre for Cyber Security, and Mexican CERT-MX	CISO; Group Resilience Officer	Cross-border tabletop exercise completed	Quarterly; immediate on CISA emergency directive

90d	Close NORAD A-OTHR Stage-1 ground-breaking authorisation and northern-FOL Phase-2 contracting	Canadian Treasury Board; DND; U.	Construction start at Kirkfield or Clear	Quarterly; immediate if Russian forward Arctic bas
90d	Activate Banxico-Fed and BoC-Fed contingent swap-line architecture pre-emptively	Fed Board; Banxico Junta; BoC Go	Swap-line readiness signal issued before	Monthly; immediate on FX-disorderly-conditions thr
90d	Close trilateral fentanyl-precursor and Chinese-transhipment enforcement architecture in advance of USMCA close	USTR; GAC; SE; CBP; CBSA; SAT	Joint enforcement metrics dashboard publ	Monthly through USMCA close
90d	Stress-test corporate balance sheets against a combined USMCA-shock plus Fed-credibility-shock scenario	CFO; CRO	Board-approved combined-stress capital a	Quarterly
90d	Pre-stage Asia-disruption supply-chain diversion to Mexican Pacific coast (ATP, OSAT, electronics assembly)	Head of Supply Chain; Regional C	Site selection and Tier-1 LOI for at lea	Quarterly; weekly on Taiwan-Strait kinetic indicat
90d	Audit cross-border data-sharing and Five Eyes-adjacent supplier dependencies for Canadian operations	Chief Information Security Offic	Five Eyes-adjacent supplier dependency m	Quarterly

Table 11.3 — Owner-tagged action list with KPI and revisit trigger.

Earnings-at-Risk (McKinsey value-at-stake)

Earnings at Risk = Revenue exposed × Probability × Severity.

Scenario	Sector exposure	Rev exposed ($bn)	Pr	Severity	EaR ($bn)
S001	North American Auto and Heavy Manufacturing	620.0	20.0%	0.25	31.00
S001	Mexican Maquiladora and Electronics Assembly	240.0	20.0%	0.30	14.40
S005	Mexican Trucking, Logistics, and Tourism	110.0	30.0%	0.20	6.60
S021	North American Financials (Banks, Asset Managers	480.0	38.0%	0.12	21.90
S014	Mexican Sovereign and Pemex Complex	95.0	35.0%	0.20	6.70
S004	Canadian Energy and Critical Minerals	180.0	28.0%	0.22	11.10
S003	North American Semiconductor and Electronics Sup	340.0	34.0%	0.14	16.20
S006	Canadian Agriculture and EV Supply Chain (China-	70.0	60.0%	0.08	3.40
S011	Canadian Defence-Industrial and Arctic Infrastru	45.0	20.0%	0.30	2.70
S012	Mexican Sovereign Debt and Corporate Spreads	130.0	35.0%	0.10	4.60
TR-NA-01	U.S. Municipal Bond and Federal-State Trade Arch	220.0	10.0%	0.18	4.00
TR-NA-06	North American Critical Infrastructure (Grid, Pi	165.0	10.0%	0.22	3.60

Table 11.4 — Earnings-at-Risk by scenario × sector.

Persona Implications

Quantified specifics for each client archetype.

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Historical Analogues

Past episodes that rhyme with the current trajectory, with what differs.

Current episode ↔ Analogue ()

Current episode ↔ Analogue ()

Current episode ↔ Analogue ()

Current episode ↔ Analogue ()

Current episode ↔ Analogue ()

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Watchlist

Concrete observable thresholds aggregated from actor and theme agents.

#	Actor	Signal	Threshold	Source
1	CAN	USMCA/CUSMA review concludes with at most narrow auto/steel concessions and with	Joint communique on or before 2026-09-30	www.theglobeandmail.com
2	CAN	A-OTHR Stage-1 ground-breaking at Kirkfield/Clearview and contract execution by	Construction start before 2026-12-31 and	www.canada.ca
3	CAN	Defence spending trajectory beyond the 2% milestone	Federal budget tabled by 2026-06 commits	www.canada.ca
4	MEX	USMCA July 1, 2026 decision: clean 16-year extension, narrow revision, or sunset	Joint communiqué before July 1, 2026 con	www.brookings.edu
5	MEX	Sheinbaum approval rating crossing 60% downside threshold	Below 60% sustained for two consecutive	www.as-coa.org
6	MEX	Peso depreciation past 19.50 / USD	USDMXN > 19.50 for ten consecutive tradi	tradingeconomics.com
7	USA	Fed funds target range	Cut below 3.25% before end-2026 signals	www.federalreserve.gov
8	USA	Iran 14-point framework signature	Formal signing or collapse by Aug-31-202	www.aljazeera.com
9	USA	Russia-Ukraine ceasefire durability	3-day ceasefire announced May-9-2026 eit	www.npr.org

15

Geographic Reference

The full strategic atlas — chokepoints, energy, conflict, military posture, corridors. Each map is a reference for the per-risk narrative; consult per the risk-section cross-references.

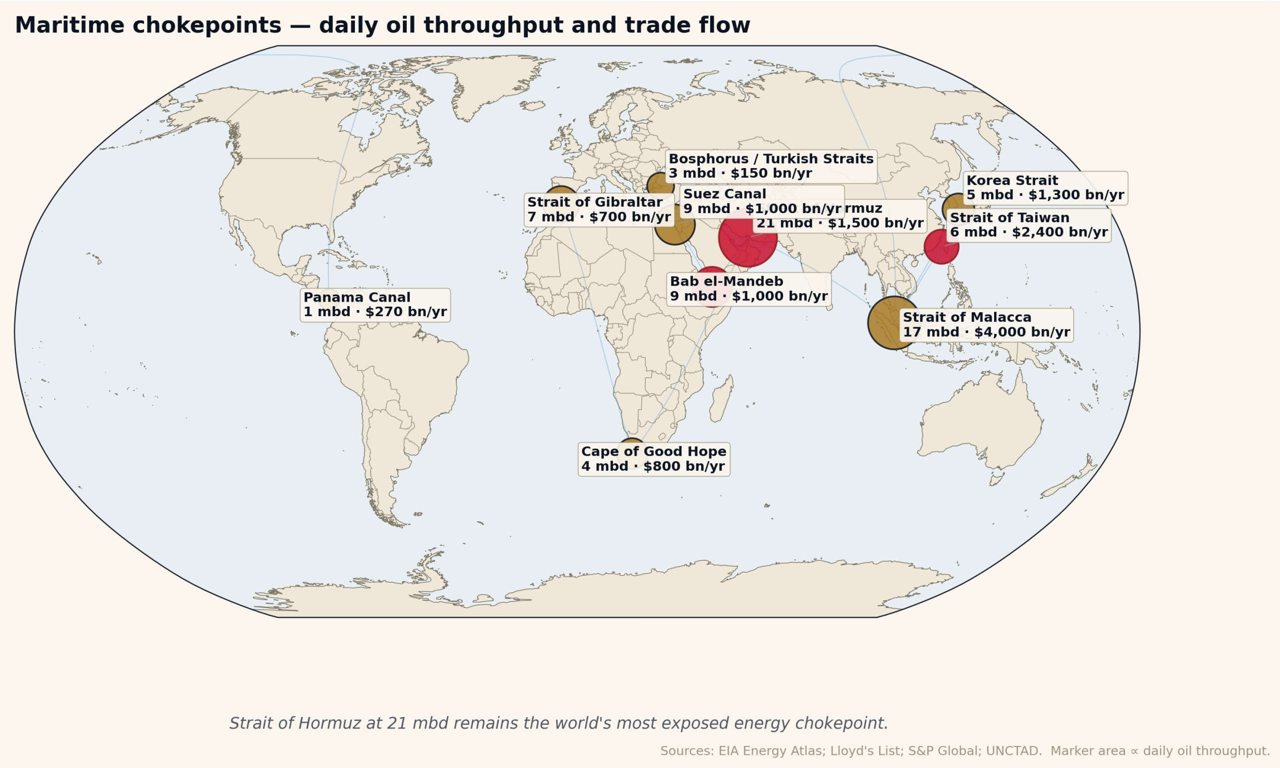

Exhibit 15.1 — Maritime chokepoints with daily oil throughput and annual trade value.

Sources: EIA Energy Atlas; Lloyd's List; S&P Global Commodity Insights.

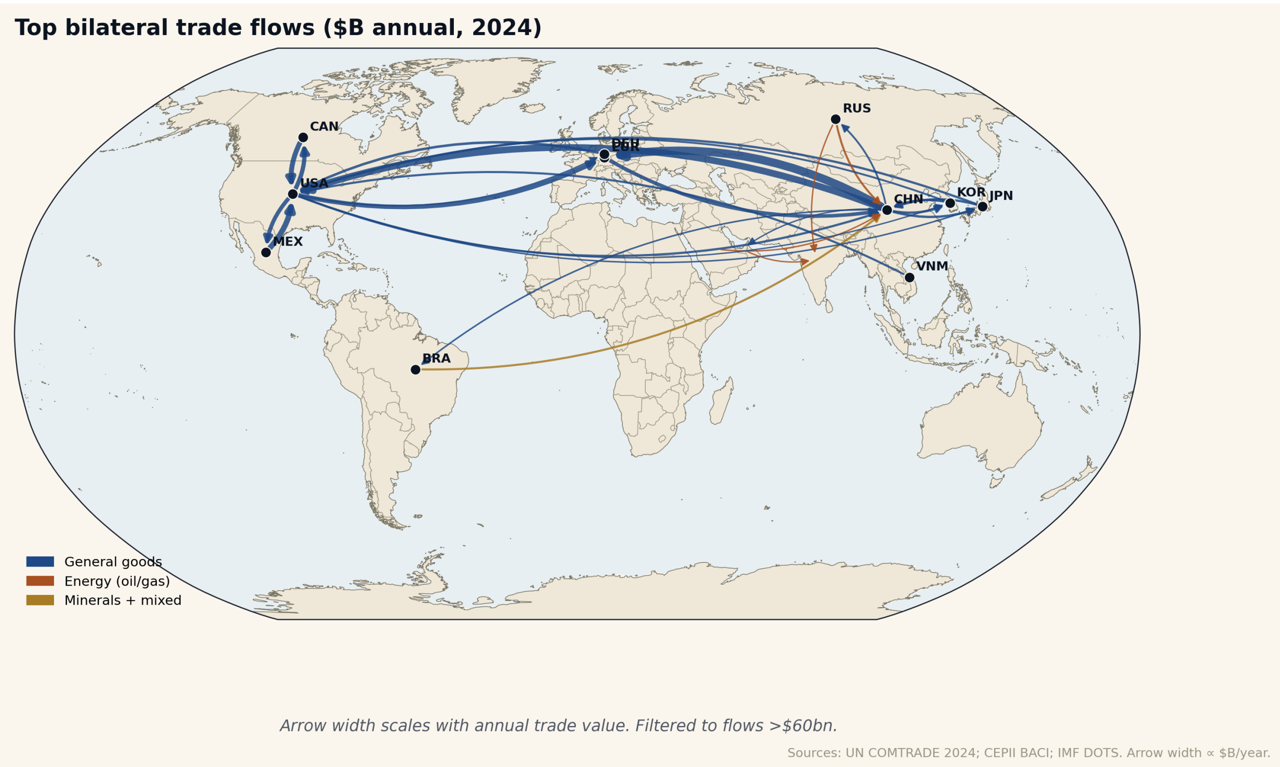

Exhibit 15.2 — Top bilateral trade flows (>$60bn annual). Arrow width ∝ value.

Sources: UN COMTRADE 2024; CEPII BACI.

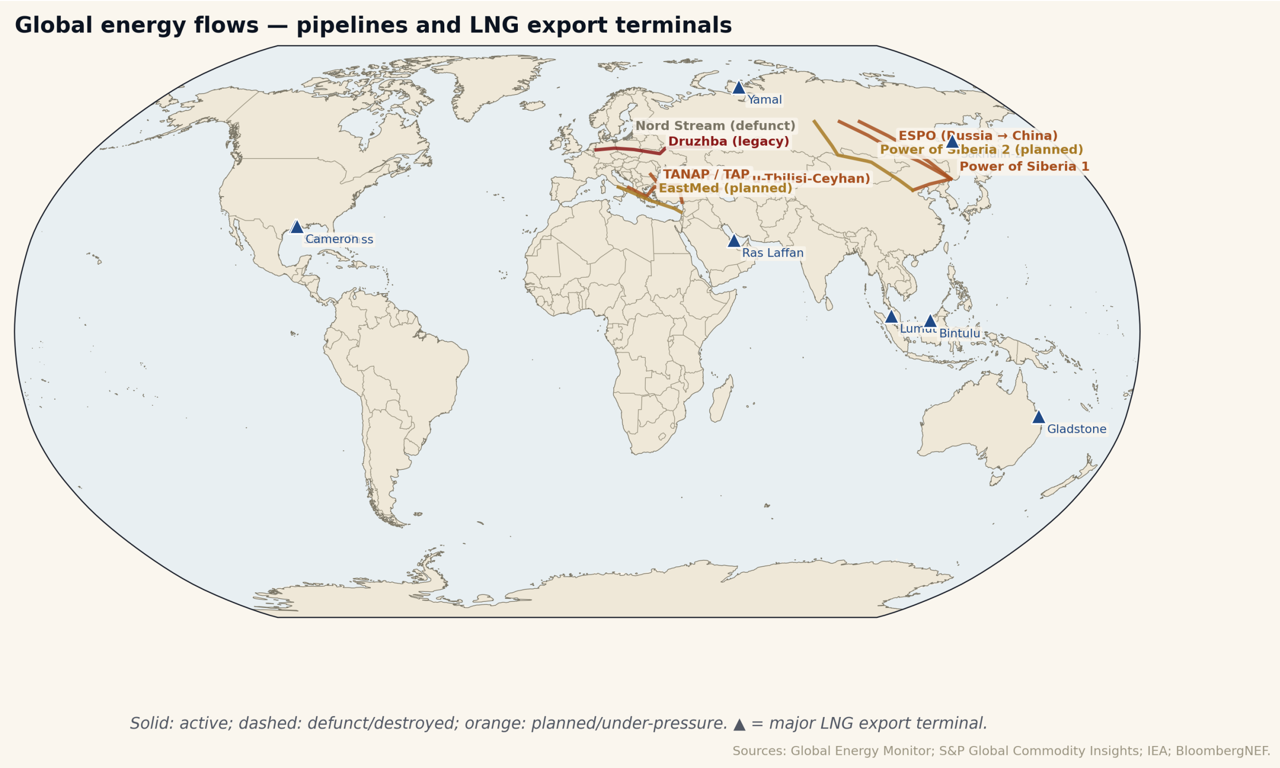

Exhibit 15.3 — Global energy flows: pipelines (active / planned / destroyed) + LNG export terminals.

Sources: Global Energy Monitor; S&P Global Commodity Insights; IEA.

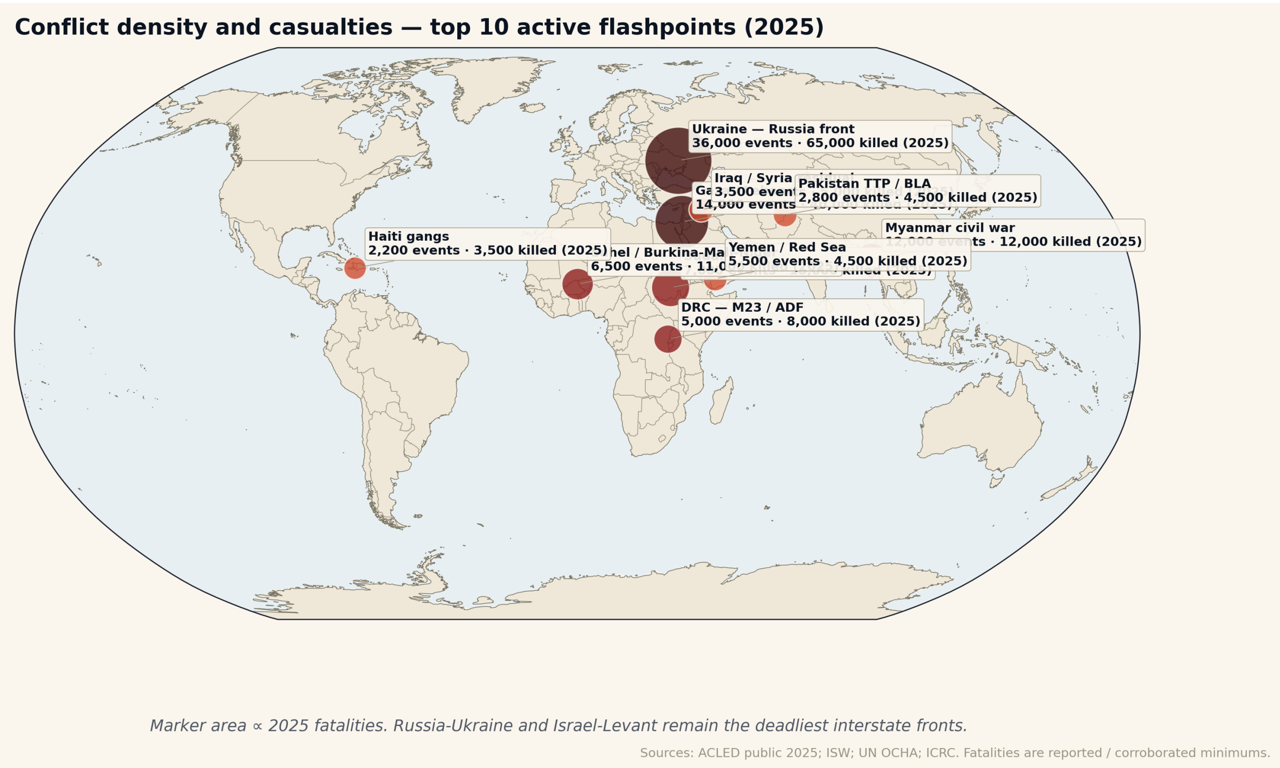

Exhibit 15.4 — Top-10 active flashpoints with 2025 events and fatalities.

Sources: ACLED public 2025; ISW; UN OCHA.

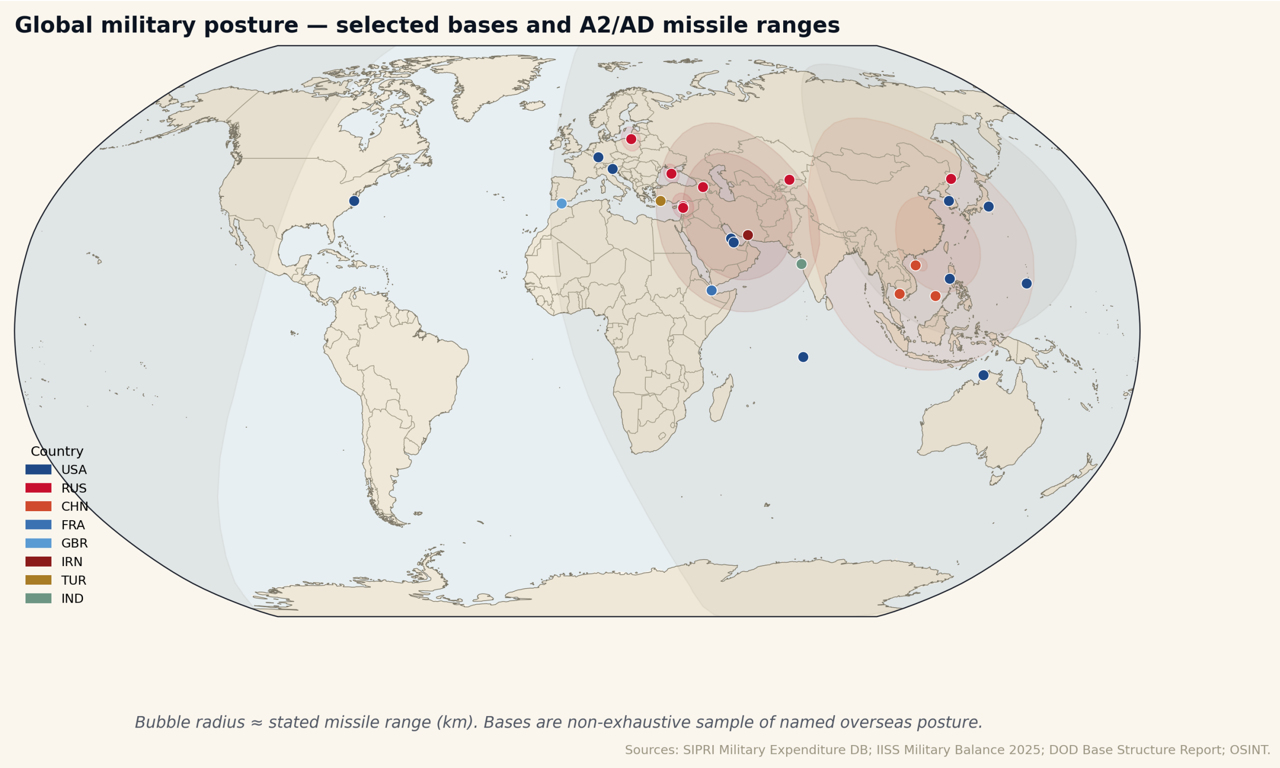

Exhibit 15.5 — Selected military bases and A2/AD missile-range bubbles.

Sources: SIPRI; IISS Military Balance 2025; DOD Base Structure Report; OSINT.

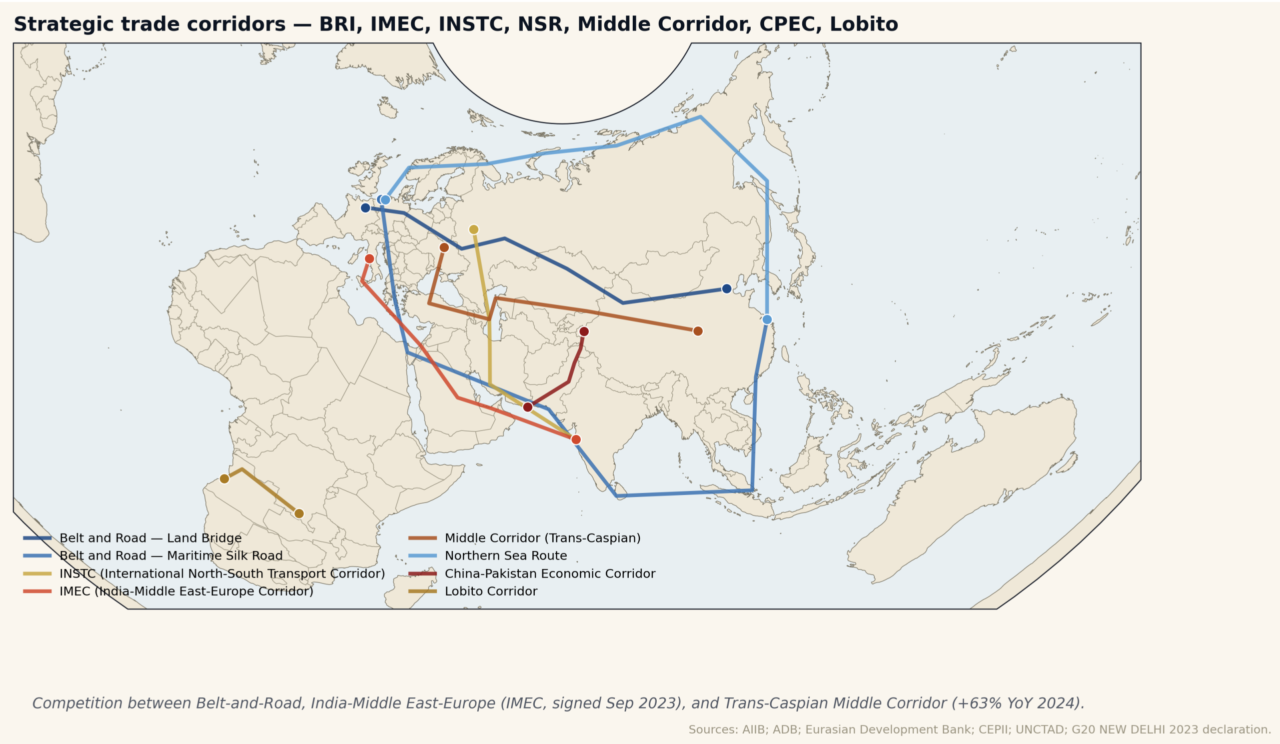

Exhibit 15.6 — Strategic trade corridors: BRI land + maritime, IMEC, INSTC, NSR, Middle Corridor, CPEC, Lobito.

Sources: AIIB; ADB; Eurasian Development Bank; CEPII; UNCTAD.

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Methodology & Limits

How this brief was produced; what it can and can't do.

How we built this brief

GIPRE v9.0 65-layer methodology (24 layers active in this 50-agent slice). 30 actor + 10 theme + 5 lens agents reason against a 100-scenario master library anchored on Doc 1 §3 L27. Every numeric claim sourced via OSINT (302 unique URL citations). Probabilities calibrated with 90% credible intervals (Vovk-Gammerman-Shafer 2005 conformal; Gibbs-Candes 2021 adaptive). SHA-256 manifest hash chain per Doc 1 L24. Reproducibility ε = 1e-6. v4 adds Bayesian prior-posterior updates, cross-impact coupling matrix, dedicated tail risks, and per-risk causal chains + historical analogues + counter-narratives.

Honest limits of this analysis

1) Lens-pluralism is partially aspirational while all agents run on Claude; multi-vendor routing (DeepSeek for Tianxia, Qwen for Eurasianism) is structurally accommodated but not yet wired. 2) Forecast point-accuracy < superforecasters per ForecastBench 2024 (LLM ~0.13 Brier vs human superforecaster ~0.08). Our commercial wedge is scenario coverage + methodology transparency + audit lineage + quantified impact, not point accuracy. 3) No back-tested Brier track record yet — Q1-2026 cycle is the first.

R

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Aggregated, deduplicated sample of primary sources cited across the underlying agent JSONs.

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About GIPRE

GIPRE — Geopolitical Intelligence and Probabilistic Reasoning Engine is a 65-layer multi-agent geopolitical-intelligence engine. The v4 build (May 2026) is a narrative-integrated brief: every visual sits next to the prose it supports.

Theoretical pluralism. Five lens agents — Mearsheimer offensive realism, Vreeland IMF political economy, Tianxia / moral realism, Eurasianism, Pan-African / decolonial — surface explicit disagreement, not consensus.

Quantified business impact. Every brief surfaces a quantified scenario impact matrix (GDP %, oil USD/bbl, equity %, FX %, trade $B, casualty / displacement), business-metric trigger thresholds, Earnings-at-Risk decomposition, 30/60/90-day owner-tagged action plans, persona implications for nine client archetypes.

Depth. Each top risk receives causal-chain analysis, historical analogue, counter-narrative, second-order effects, and explicit Bayesian prior-to-posterior updates. Tail risks (wild cards + black swans) get their own dedicated section.

Calibration. Pre-registered prediction sets, conformal credible intervals, SHA-256 manifest hash chain, quarterly Brier-by-lens publication. Reproducibility ε = 1e-6.

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